

The Cultural Foundations of State Legitimacy: Kinship and Institutional Mismatch

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Abstract

This paper demonstrates that the failure of institutional transplants often stems from an ‘institutional mismatch’ between rigid formal rules and informal norms. Using a spatial regression discontinuity design across partitioned ethnic homelands, I find that historical kinship intensity impedes development only under Civil Law. Under Common Law, which can absorb customary norms, this penalty disappears. The mismatch reduces local economic activity by 11%, implying an aggregate loss of 4% of GDP. Micro-data reveal the mechanism: under Civil Law, high-kinship groups view the state as illegitimate and withdraw from the formal sphere. I validate this mechanism using the 2016 Anglophone Crisis in Cameroon, showing that the imposition of Civil Law triggered civil disobedience that collapsed economic activity concentrated in high-kinship communities. Institutional efficacy requires aligning formal policies with local moral psychology.

Keywords: Institutional Mismatch, Kinship, Legal Origins, State Capacity, Culture

JEL Classification: Z13, O43, O17, K10

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1 Introduction

“Laws should be so appropriate to the people for whom they are made that it is very unlikely that the laws of one nation can suit another.”

– MONTESQUIEU

The large disparities in comparative development are often attributed to either weak formal institutions (North, 1990; Acemoglu et al., 2001) or resistant cultural norms (Guiso et al., 2006; Nunn and Wantchekon, 2011). In this paper, I propose that the persistence of state weakness and the resulting underdevelopment often stem from a fundamental ‘institutional mismatch’: the collision between rigid, top-down legal codes and the deep-rooted, bottom-up moral economy of kinship. While the existing literature debates the relative primacy of formal rules versus informal norms, I argue that the failure of development lies precisely in their interaction. Specifically, I demonstrate that imposing formal institutions upon societies organised around tight kinship networks can create resistance that drives citizens to view the state as illegitimate and strategically withdraw from the formal sphere.

To understand the mechanics of this mismatch, consider a dispute over ancestral land. In a high-kinship society, land belongs to the lineage, not the individual (Migot-Adholla et al., 1991; Platteau, 1996, 2015). When a Civil Law court—applying the strict letter of the Napoleonic Code—forces the liquidation of this land to satisfy a single heir’s exit rights, it does not just resolve a private dispute; it threatens the community’s economic base and identity (Akerlof and Kranton, 2000). The state transforms from a neutral arbiter into an adversary (Djankov et al., 2003), incentivising the clan to retreat into informality entirely. A Common Law system equipped with doctrine to absorb customary norms,¹ however, might sustain a cooperative equilibrium (Gennaioli and Shleifer, 2007).

This conflict explains a persistent puzzle. Anthropologists have long documented the

¹British colonial courts utilised Repugnancy Clauses, which mandated the enforcement of local customary law provided it was not “repugnant to natural justice, equity, and good conscience” (Beck et al., 2003).

functional utility of kinship in providing social safety nets and contract enforcement (Smith and Malinowski, 1926; Gluckman, 1955; Posner, 1980; Hoebel and Llewellyn, 1983). Economists, however, often view these networks as impediments to development that foster nepotism and inhibit the generalised trust required for modern markets (e.g., Moscona et al., 2017; Schulz, 2022). I hypothesise that this negative relationship is not intrinsic to kinship, but is generated by the imposition of WEIRD institutions that implicitly assume a psychology of impersonal prosociality: a generalised trust in anonymous bureaucracy (Henrich et al., 2010). When these institutions are transplanted into populations organised around reputation-based clan enforcement, they fail to directly replace the clan; instead, they alienate it. Because these institutions implicitly treat the clan as a liability rather than an asset, they crowd out cooperation and incentivise civic disengagement. The policy question thus becomes which formal institutional frameworks can complement, rather than contradict, these deep-rooted social structures to foster state capacity (Besley and Persson, 2009).

In order to ensure that these contrasting legal approaches represent structural features rather than isolated anecdotes, I formalise this structural divergence using computational text analysis on a novel corpus of colonial court cases. Training word embedding models on decisions from the British Judicial Committee of the Privy Council (Common Law) and the *Revue Juridique du Congo Belge* (Civil Law), I find that Common Law jurisprudence exhibits significantly higher semantic similarity between customary terms and formal property rights, confirming its capacity for institutional porosity. Moreover, the Civil Law corpus systematically projects customary law further from 'validity' and closer toward the semantic pole of 'repugnance,' quantifying the deep-rooted rigidity that creates the institutional mismatch.

To examine the mismatch hypothesis, I begin by documenting a powerful global fact: the relationship between kinship intensity and economic development is not uniformly negative (cf. Bahrami-Rad et al., 2022). Using grid cell-level light density at night as a proxy for economic activity across 1,131 ethnolinguistic regions (Henderson et al., 2012; Donaldson

and Storeygard, 2016), I find that tight kinship norms (measured using the standardised index of Schulz (2022)) are negatively correlated with development only under Civil Law legal origins. This result holds after including country fixed effects to control for national-level institutional quality. Under Common Law, this kinship penalty disappears.

Moving beyond correlation, I employ a spatial regression discontinuity (RDD) design across national borders that separate Civil Law and Common Law jurisdictions. Focusing on ethnic homelands partitioned by these boundaries, I isolate the causal effect of the legal regime by exploiting the arbitrary assignment of colonial borders over homogenous populations (Michalopoulos and Papaioannou, 2014, 2016). The results reveal a significant ‘mismatch penalty’: in high-kinship societies, being assigned to a Civil Law jurisdiction reduces economic activity by 11% relative to co-ethnics just across the border. In contrast, for low-kinship societies, the legal regime yields no economic penalty. This result nuances the view that Civil Law is inherently inferior; rather, it fails specifically when it clashes with the underlying moral psychology of the population. Factoring in the population share of high-kinship societies, the aggregate impact of institutional mismatch in Civil Law jurisdictions equals approximately 4% of GDP.

I next investigate the mechanisms underlying this result. If the mismatch hypothesis is correct, the economic penalty should be driven by a strategic withdrawal from the formal sphere. Testing this channel using geocoded micro-data from the Afrobarometer surveys, I find that the mismatch manifests as a crisis of state legitimacy. High-kinship individuals governed by Civil Law exhibit significantly lower trust in courts, police, and tax authorities compared to their Common Law counterparts living just across the border. Furthermore, I document a collapse in civic engagement: these groups are significantly less likely to contact officials, attend community meetings, or engage in collective action (consistent with Alesina and Giuliano, 2011). This suggests that the friction between rigid rules and local norms drives citizens to ‘exit’ the state (Hirschman, 1972; Mamdani, 1996), reducing state capacity and fostering reliance on less efficient informal networks (Dixit, 2004).

I validate this mechanism using a natural experiment in Cameroon, a setting uniquely suited to isolate the effects of conflicting colonial legacies ([Lee and Schultz, 2012](#); [Guarnieri and Rainer, 2021](#)). Containing both Common Law and Civil Law regions within one of the world’s most ethnically fractionalised states ([Alesina et al., 2003](#); [Fearon, 2003](#)), Cameroon provides the necessary variation in kinship intensity to isolate the interaction between social structure and legal form. I initially document that the mismatch penalty is visible even in peacetime: prior to the 2016 crisis, high-kinship areas in the Francophone (Civil Law) regions exhibited significantly lower levels of development compared to culturally similar groups in the Anglophone (Common Law) region. In low-kinship societies, this penalty once again disappears.

To capture the real-time costs of institutional mismatch, I leverage the onset of the Anglophone Crisis: the violent culmination of a decades-long struggle for legal recognition known as the Anglophone Problem ([Konings and Nyamnjoh, 2003](#)). In 2016, the central government attempted to impose Civil Law judges upon Common Law courts, triggering a massive backlash ([Pommerolle and Heungoup, 2017](#)). Using a dynamic difference-in-differences framework, I show that high-kinship communities responded by reviving the historical tactic of civil disobedience via ‘Ghost Town’ operations: enforcing total economic shutdowns intended to delegitimise the state. Economic activity in these areas collapsed, diverging sharply from trends in culturally similar areas in the Francophone regions. I show this was not merely a result of violence; a placebo test using the Boko Haram conflict in Northern Cameroon reveals no such strategic withdrawal in high-kinship societies. This result indicates that the economic collapse was driven by a rejection of the imposed legal form, distinct from general conflict instability.

These findings have profound implications for development policy. They suggest that the efficacy of institutional reforms depends on their alignment with local moral psychology. The failure of state-building in the Global South may stem not from a lack of best-practice institutions, but from the imposition of one-size-fits-all structures that lack cultural legiti-

macy (Rodrik, 2007; Pritchett et al., 2013). Development requires not just better rules, but rules that fit.

Related Literature. This paper makes three contributions to the political economy of development. First, I attempt to resolve a central tension between institutional and cultural explanations of growth. While a seminal literature debates the relative primacy of formal rules (North, 1990; Acemoglu et al., 2001; Rodrik et al., 2004; Dell, 2010; Iyer, 2010; Lee and Schultz, 2012) versus deep-rooted norms (Guiso et al., 2006; Nunn, 2008; Nunn and Wantchekon, 2011; Michalopoulos, 2012; Alesina et al., 2013; Michalopoulos and Papaioannou, 2013, 2020), recent work has begun to model their interplay (Tabellini, 2008; Bisin and Verdier, 2011; Gorodnichenko and Roland, 2017; Lowes et al., 2017; Le Rossignol et al., 2024; McGuirk and Nunn, 2024). I advance this literature by identifying their interaction as a determinant of state legitimacy. My findings provide causal evidence for the theoretical predictions of Greif (1994); Greif and Tabellini (2010) and Mukand and Rodrik (2020), showing that national institutions matter precisely when they conflict with local moral economies (cf. Michalopoulos and Papaioannou, 2014; Godefroy and Lewis, 2025). The result is not institutional convergence, but strategic civic disengagement.

Second, I refine the Legal Origins hypothesis by introducing social structure as a decisive scope condition. The existing consensus, established by La Porta et al. (1998, 1999) and Glaeser and Shleifer (2002), argues that Common Law is superior to Civil Law due to better investor protections and judicial independence. I qualify the universality of this view. By documenting a mismatch penalty that exists only in high-kinship societies, I show that Common Law’s advantage lies not only in its formal efficiency, but also in its adaptability (Beck et al., 2003; Gennaioli and Shleifer, 2007; Musacchio, 2008) and its capacity to absorb the reputation-based enforcement mechanisms of the clan. This explains a longstanding paradox in the literature: why Civil Law performs adequately in Europe (Acemoglu et al., 2011; Giorcelli and Moser, 2020) but often fails in the Global South (Djankov et al., 2003; Berkowitz

et al., 2003; Platteau, 2009), suggesting that the transplant effect is driven specifically by the rigidity of the code in the face of divergent norms.

Finally, this paper re-evaluates the relationship between state capacity and the economics of kinship by integrating an anthropological perspective. A rapidly growing economic literature documents the persistence of kinship networks, typically presenting them as fundamental obstacles to development. Scholars have shown that these ties foster nepotism (Greif, 2006; Moscona et al., 2017; Akbari et al., 2019), impede democracy (Dal Bó et al., 2009; Querubin et al., 2016; Cruz et al., 2017), exacerbate conflict (Moscona et al., 2020; Bahrami-Rad et al., 2022), and inhibit the impersonal prosociality required for modern states (Henrich et al., 2010; Enke, 2019; Schulz, 2022). In this view, traditional structures inevitably crowd out generalised trust (Scott, 1998; Bigoni et al., 2016; Schulz et al., 2019). Notwithstanding, I treat kinship not as a guaranteed friction, but as a competitor enabling citizens to rely on the lineage as a substitute provider of public goods when formal institutions fail (Ekeh, 1975; Fafchamps, 1992; Coate and Ravallion, 1993; Platteau, 1994; Scott, 2009).

This interpretation implies that the kinship penalty is not an immutable cultural feature, but an endogenous outcome of institutional design. The policy implication thus shifts from cultural engineering (e.g., Aldashev et al., 2012; Bau, 2021), attempting to dismantle clans, toward institutional right-fitting, suggesting that traditional structures can complement state capacity if the legal framework is sufficiently flexible (see Acemoglu et al., 2014; Baldwin, 2016; Bolt and Gardner, 2020; Bolt et al., 2022).

The remainder of the paper proceeds as follows: Section 2 outlines the conceptual framework; Section 3 details the data construction; Section 4 presents the global and causal evidence; Sections 5 and 6 examine the mechanism through survey data and the Anglophone Crisis; and Section 7 concludes.

2 Conceptual Framework

This section outlines a theoretical framework for understanding the interaction between formal legal institutions and informal social structures. I suggest that state capacity is determined not by the independent intrinsic quality of these institutions, but by their compatibility. I model this interaction as a strategic choice: the adaptability of the legal code determines whether kinship networks function as a complement to the state, enhancing its legitimacy, or as a substitute, enabling citizens to exit the formal sphere and rely on the lineage for public goods.

2.1 Kinship as an Enforcement Technology

Historically, in environments characterised by high transaction costs and weak central authority, economic cooperation could not rely on third-party enforcement by an impartial state (Landa, 1981; Bernstein, 1992; Milgrom et al., 1990; Dixit, 2004). Instead, societies developed dense kinship networks as a primary technology to mitigate information asymmetries and solve commitment problems (Fafchamps, 1992; Coate and Ravallion, 1993; Greif, 2006; Enke, 2019). By leveraging the credible threat of social ostracisation and collective liability, the lineage functions as a second-best institution that enforces contracts and creates reliable social safety nets (Greif, 1993; Fafchamps and Lund, 2003). In these contexts, the clan is not a friction to be overcome, but a functional economic unit where the lineage—rather than the household or the individual—acts as the primary agent of survival.

This enforcement technology primarily relies on a specific moral economy regarding the structure of property rights. Anthropologists emphasise that land in high-kinship societies is viewed as a communal asset held in trust for the lineage, rather than an alienable commodity. For instance, in the *Stool Land* systems of Ghana, land is held in perpetuity for the collective, preventing the emergence of individual property rights and resisting the state’s efforts at formal land titling (Goldstein and Udry, 2008; McGuirk and Nunn, 2024; Le Rossignol

et al., 2024). This communal structure maximises the group’s retention of assets but creates a fundamental friction with legal systems predicated on individual ownership and alienability.

Structurally, this reliance on reputation-based enforcement creates a radius of particularised trust that coincides with the lineage but often excludes the anonymous state bureaucracy (Nunn and Wantchekon, 2011; Henrich et al., 2010), implying that kinship networks function as a competitor to the state’s monopoly on rule-making and public goods provision. Because the clan provides an effective substitute for state services, ranging from dispute resolution to insurance (see Grimard, 1997; Miguel and Gugerty, 2005), citizens in high-kinship societies possess a viable exit option that atomistic individuals in low-kinship societies lack (Hirschman, 1972).

Following the logic of Scott (2009), the existence of this informal infrastructure lowers the cost of withdrawing from the formal sector. When the state attempts to impose institutions that conflict with local norms (such as privatizing communal land), the clan allows society to bypass the formal sphere entirely, retreating into an informal sector where the state’s fiscal and legal capacity cannot reach. A classic manifestation of this is the ‘uncaptured peasantry’ described by Hydén (1980) in Tanzania. When the post-colonial state imposed the *Ujamaa* villagisation policy—a rigid formal structure that contradicted local land tenure customs—rural communities leveraged their ‘economy of affection’ (kinship networks) to revert to subsistence and informal exchange, effectively neutralizing the state’s attempt at social engineering.

2.2 Legal Origins and Institutional Mismatch

Formal legal systems face a fundamental trade-off between legal certainty (minimizing judicial discretion through bright-line rules) and adaptability (the capacity to fit law to local context). While the foundational Legal Origins literature has largely attributed the economic advantages of Common Law to stronger investor protections and judicial independence (La Porta et al., 1998; Glaeser and Shleifer, 2002), this framework highlights a different di-

mension: institutional porosity or the capacity of the legal system to absorb pre-existing informal norms.

The Civil Law tradition, particularly in its French colonial application, represents the pinnacle of logical ‘formal rationality’: a constructed order designed to reconstruct society from the top down (Weber, 1922; Hayek, 1973). By asserting a strict monopoly on rule-making, the Code renders the negotiated, reputation-based norms of the clan illegible and legally void. The friction this generates is existential, particularly regarding lineage property. This is starkly illustrated by the *Affaire Dipoko* (1983) in Cameroon. In this dispute over ancestral land, the court strictly applied Article 815 of the Napoleonic Code,² which prioritises individual exit rights over collective ownership. Since the communal land could not be physically partitioned among the numerous heirs without destroying its economic viability, the court ordered the liquidation of the ancestral estate to outsiders.

By prioritizing the atomistic property rights of the individual over the collective preservation of the lineage, the ruling effectively dismantled the community’s economic base. In the language of Akerlof and Kranton (2000), the Civil Law thus imposes a severe ‘identity externality’: compliance with the state requires the violation of deep-rooted moral norms and the destruction of the social self. In such an environment, the state transforms from a neutral arbiter into a predator, incentivizing agents to reject the formal institution entirely.

In contrast, the Common Law tradition possesses specific doctrinal mechanisms that allow it to absorb the ‘substantive rationality’ of the clan. The reliance on case law allows for a dynamic evolution where judges can distinguish precedents to accommodate local realities (Beck et al., 2003; Gennaioli and Shleifer, 2007). This flexibility was formalised through Repugnancy Clauses, which mandated courts to enforce local customary law provided it was not “repugnant to natural justice, equity, and good conscience.”³ This legal technology acts

²Article 815 of the Code Civil (1804): “*Nul ne peut être contraint à demeurer dans l’indivision et le partage peut être toujours provoqué*” (No one can be forced to remain in co-ownership, and partition may always be demanded).

³See, e.g., Section 19 of the Supreme Court Ordinance No. 4 of 1876 (Nigeria). For a comprehensive review of the judicial application of this doctrine, see Allott (1970) and Fullerton Joireman (2006).

as a filter, allowing the kinship network to enter the formal canon. A seminal example is the Privy Council’s ruling against the colonial government’s claim to “unoccupied” land in *Amodu Tijani v. Secretary of Southern Nigeria* (1921). Explicitly rejecting the imposition of English *fee simple* rights, the court held that native title must be understood on its own communal terms. By validating rather than erasing the moral economy of the clan, the Common Law lowers the cost of participation, allowing the lineage to view the state as a complement rather than a substitute.

Colonial Legal Semantics. To ensure that these contrasting case histories represent structural features rather than isolated anecdotes, I validate the mismatch hypothesis using computational text analysis. I construct a novel corpus of colonial legal texts representing the apex of appellate review: for Common Law, I utilize 166 decisions from the Judicial Committee of the Privy Council (JCPC, 1890–1974), the final court of appeal for the British Empire (corpus restricted to Sub-Saharan Africa); for Civil Law, I employ the *Revue Juridique du Congo Belge* (RJCB, 1924–1963), a comprehensive hybrid repository combining binding jurisprudence with authoritative administrative doctrine. By training word embedding models (Word2Vec) on these legal corpora, I map the high-dimensional semantic topology of each tradition. This approach moves beyond simple keyword counting to quantify the deeper associative links between words, allowing us to observe how the ‘black box’ of the legal code processes indigenous concepts.

The results in Figure 1 reveal a remarkable divergence in semantic architecture, detailed further in Appendix B.2. In the Common Law vector space, customary terms (e.g., stool, family land) exhibit high cosine similarity with concepts of land and ownership, confirming the system’s porosity and capacity to absorb local norms. In contrast, the Civil Law model has a significantly lower cosine similarity ($p < 0.01$), and systematically projects these same kinship terms lower on a semantic axis defined from repugnance/barbarism to equity/validity. These findings illustrate the higher normative load (legitimacy) assigned to customary norms

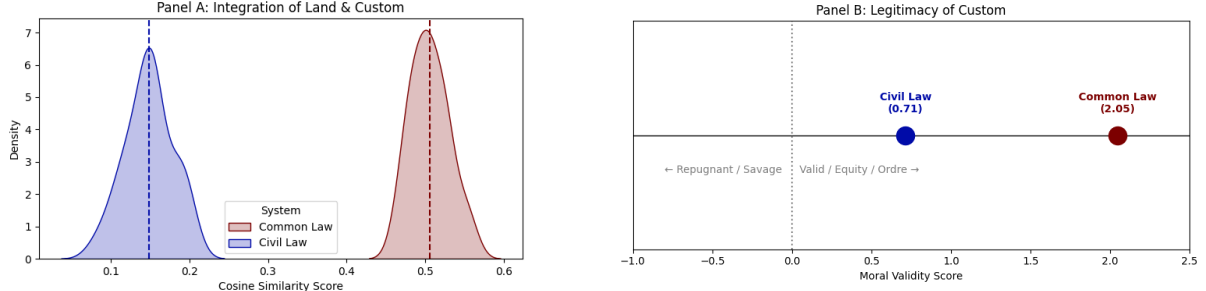


Figure 1: The Semantic Divergence of Colonial Law

Notes. Panel A displays the bootstrap distribution of cosine similarity scores between Custom and Land vectors (N=30 resamples), showing no overlap between the Common Law (Red) and Civil Law (Blue) corpora. Panel B projects the concept of Custom onto a normative axis ranging from Repugnant (-1) to Valid/Equity (+1).

in the Common Law tradition. This quantitative evidence confirms that the exclusion of the clan is not merely a by-product of specific colonial administrators, but is encoded in the deep semantic structure of the Civil Law itself, underpinning the institutional mismatch modelled below.

It is useful at this point to distinguish this mechanism from the bifurcated state critique of Mamdani (1996), who argued that British Indirect Rule created a decentralised despotism by empowering unaccountable chiefs. While Mamdani correctly identifies a democratic deficit, I argue that in high-kinship societies, the Common Law’s legal porosity was strictly preferable to the exclusionary rigidity of the Civil Code. By offering a bridge, however narrow, between the citizen and the subject, it prevented the total alienation and dual legalism generally observed under the Code (Platteau, 2009).

This dichotomy implies that the ‘institutional mismatch’ is not a universal feature of legal transplants but is conditional on social structure. In low-kinship societies composed of atomistic nuclear families, the rigidity of the Civil Code aligns relatively well with the underlying social topology (as in Acemoglu et al., 2011). In such contexts, the bright-line rules of the Code provide valuable legal certainty and protect litigants from the unpredictability of judicial discretion (Glaeser and Shleifer, 2002; Lamoreaux and Rosenthal, 2005). However, for high-kinship groups, the Civil Law precipitates a crisis of representation. The mismatch

arises because the Civil Law implicitly treats the clan as a liability to be dismantled, whereas the Common Law possesses the capacity to treat the clan as an asset to be co-opted.

2.3 Strategic Exit and State Capacity

I model the interaction between the informal moral economy of kinship and the formal architecture of the state as a choice between ‘Voice’ and ‘Exit’ ([Hirschman, 1972](#)). The institutional mismatch hypothesis posits that state legitimacy is not intrinsic, but conditional on compatibility. When rigid institutions, epitomised by the Civil Law, are imposed upon societies organised around reputation-based kinship networks, the state transforms from a complement into a competitor. Moreover, by rendering the complex, opaque web of kinship obligations ‘legible’ and subordinate to central command ([Scott, 1998](#)), the Civil Law system delegitimises indigenous conflict resolution mechanisms without effectively replacing them.

This institutional clash generates two distinct equilibrium outcomes. Under Common Law, the porosity of the Repugnancy Clause allows customary norms to be absorbed into the formal canon. This accommodation lowers the cost of compliance, sustaining a cooperative equilibrium where the state is viewed as a neutral arbiter. Conversely, the rigidity of the Civil Law effectively marginalises high-kinship societies. Facing a state that criminalises their moral obligations (e.g., regarding lineage land), such high-kinship groups strategically withdraw from the formal sphere. Following [Scott \(2009\)](#), these citizens choose to bypass the state entirely, retreating into the ‘illegible’ informal economy where the clan provides public goods and protection.

This strategic withdrawal generates a self-reinforcing trap of low state capacity. By rendering their economic activities invisible to avoid a hostile legal system, high-kinship groups effectively cap the state’s fiscal capacity to tax and its legal capacity to enforce contracts ([Besley and Persson, 2009](#)). When the state cannot observe or regulate the clan, it cannot extract the resources necessary to provide public goods ([Mayshar et al., 2017](#)), further diminishing its utility relative to the kinship network. As [Kranton \(1996\)](#) demonstrates, this

dynamic is self-sustaining: the thinning of the formal sector increases the relative return to personalized exchange, locking the society into a low-level equilibrium. The ‘kinship penalty,’ therefore, is not merely a cultural friction, but a structural failure of the state to establish the fiscal and legal monopoly required for development.

I model this interaction formally in the stylised model of Appendix A. Following the incomplete contract literature (Grossman and Hart, 1986; Hart, 1995), I view the Civil Code as a contract that is ‘incomplete’ regarding customary assets. Because customary rights are often non-verifiable by a judge trained strictly in the Code, the legal system fails to process this local information (Hart and Moore, 2005), resulting in the (accidental) expropriation of the asset.

Next, I move from the micro-foundations of institutional mismatch to the macro-environment effects, adapting the canonical model of tax evasion (Allingham and Sandmo, 1972). By treating the legal regime as a constraint on the citizen’s participation constraint, I show that institutional mismatch increases the elasticity of exit. In a model with an endogenous state, this forces the government to retreat, leading to the equilibrium of low state capacity (low taxes, low public goods) that characterises the Kinship Penalty.

This framework yields two central hypotheses regarding the origins of this penalty:

Hypothesis 1 (The Mismatch Penalty). *The negative relationship between kinship intensity and economic development is conditional on the legal regime. The penalty will be concentrated in high-kinship societies governed by Civil Law; in Common Law jurisdictions, where institutions can accommodate customary norms, this penalty attenuates or disappears.*

Hypothesis 2 (The Exit Mechanism). *The economic penalty is driven by a crisis of legitimacy. Relative to their Common Law counterparts, high-kinship groups under Civil Law will exhibit lower trust in state institutions, higher rates of tax avoidance, and reduced civic engagement.*

3 Data and Measurement

To estimate the interaction between legal institutions and kinship norms, I combine spatial data from multiple primary sources: ethnographic maps, satellite imagery, and geocoded survey and conflict data. To harmonise these disparate data types, I construct a uniform global grid of $0.125^\circ \times 0.125^\circ$ cells (approximately $14 \text{ km} \times 14 \text{ km}$ at the equator), which serves as the unit of observation throughout the analysis. This spatial resolution is selected to maximise the precision of the satellite nightlights data while maintaining computational tractability for the global sample.

3.1 Kinship and Legal Origins

To test the hypothesis that cultural mismatch is driven by the incompatibility between formal rules and informal social structures, I require a measure of deep-rooted kinship norms that predates the imposition of modern legal codes. I follow the recent literature on the origins of psychological variation and institutional development and employ the Kinship Intensity Index (KII), a composite measure of social organisation originally formalised by [Schulz \(2022\)](#) and [Bahrami-Rad et al. \(2022\)](#), comparable in scope to [Enke \(2019\)](#). This measure captures the extent to which a society is organised around dense, interdependent networks rather than atomistic nuclear families. Specifically, the index synthesises five distinct pre-industrial traits documented in the Ethnographic Atlas: the preference for cousin marriage, the presence of polygamy, the co-residence of adult children with parents, the existence of segmented lineage organisations, and the structure of local communities.

The primary source for this data is the Ethnographic Atlas (EA, [Murdock, 1967](#)), which provides pre-industrial ethnographic characteristics for 1,265 ethnic groups. To map these historical traits to contemporary spatial data, I follow the procedure established by [Giuliano and Nunn \(2018\)](#), linking ethnic groups from the Atlas to the language groups of the Ethnologue 16 database based on linguistic proximity. This procedure is highly effective:

I successfully assign a KII value from 1,131 (out of 1,265) unique ethnic groups in the EA to the ancestral homelands of 7,063 (out of 7,510) language groups mapped in Ethnologue 16. While this approach assigns traits based on ancestral territory, evidence confirms a high correlation between ancestral and contemporary inhabitants, validating the use of the Ethnographic Atlas for modern spatial analysis ([Bahrami-Rad et al., 2021](#)).

The Kinship Intensity Index is constructed as the first principal component of five key variables from the Ethnographic Atlas that capture the tightness of social organisation:

1. *Cousin Marriage Preferences*: Whether the society permits or prefers marriage between cousins, a practice that reinforces closed lineage networks.
2. *Polygamy*: The presence of polygynous marriage arrangements, which creates large, interdependent family units.
3. *Co-residence of Families*: Whether adult children reside with their parents (extended families) versus establishing independent households (nuclear families).
4. *Lineage Organisation*: The presence of localised clans or large lineage groups versus atomistic family structures.
5. *Community Organisation*: The structure of the local community, specifically whether it is segmented into clan barrios.

These five components are highly correlated, reflecting a single underlying latent trait of social tightness. As reported in Appendix Table [B.3](#), a Principal Component Analysis (PCA) reveals that the first component alone explains 56% of the total variance, with all five variables loading positively (ranging from 0.33 to 0.54), confirming that these distinct practices reflect a coherent underlying dimension of social tightness. The internal consistency of the index is high as well, with a Cronbach’s alpha of 0.80.

For the analysis, I follow [Schulz \(2022\)](#) and first standardise all five subcomponents before calculating the KII, giving each dimension of kinship equal weight. I then standardise the index itself to have a mean of zero and a standard deviation of one across the global sample. Higher values of the KII denote tight kinship societies characterised by strong in-group loyalty

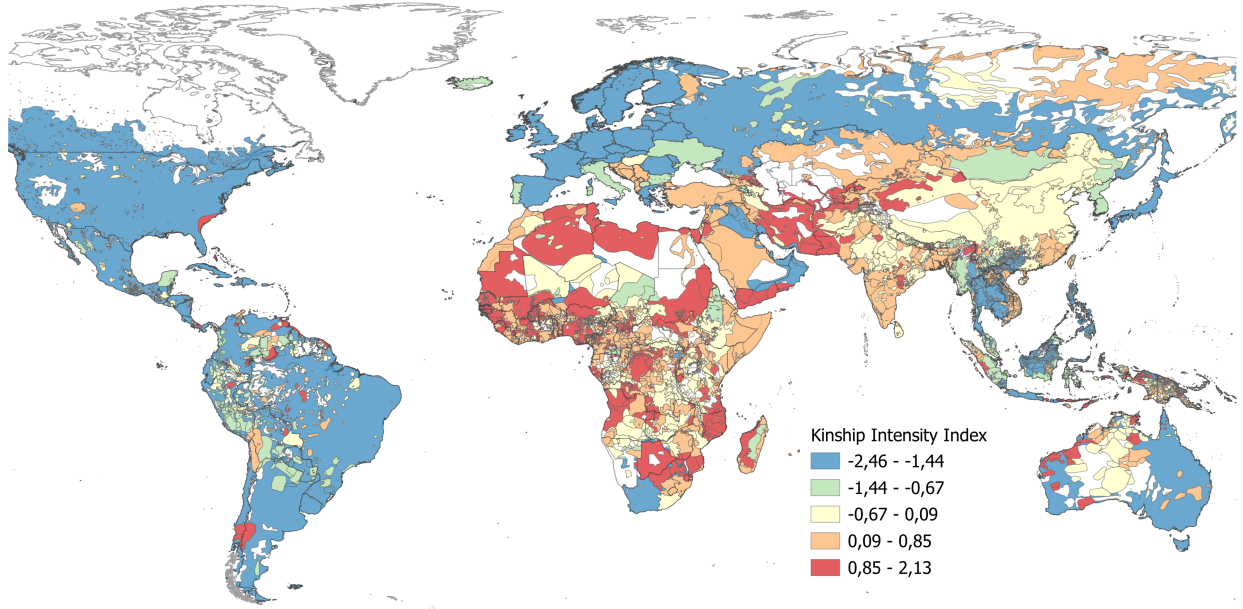


Figure 2: Global Distribution of Historical Kinship Intensity

Notes. The map displays the global variation in the Kinship Intensity Index (KII) across 1,131 ethnic groups. Darker red indicates tighter kinship norms (e.g., cousin marriage preferences, extended clans), while blue indicates loose kinship structures (nuclear families).

and extended clan networks. Lower values denote loose kinship societies characterised by nuclear families and weaker extended ties.

Figure 2 illustrates the global distribution of kinship intensity. A visual inspection confirms that while kinship intensity is generally higher in the Global South, there is substantial variation even within regions sharing similar levels of economic development, providing the necessary variation to identify the interaction with legal origins.

3.2 Economic Activity

To measure economic activity at the sub-national level, where official income accounts are either non-existent or unreliable, I rely on satellite data on nighttime luminosity. This approach has become the standard in comparative development economics for measuring local economic activity and living standards (Chen and Nordhaus, 2011; Henderson et al., 2012; Donaldson and Storeygard, 2016).

I employ data from the Visible Infrared Imaging Radiometer Suite (VIIRS), available from 2012-2024. Unlike older DMSP-OLS series, which suffer from saturation in urban centres and bottom-coding in rural areas, VIIRS offers superior radiometric resolution and onboard calibration for detecting low-level economic activity in the Global South. I aggregate the raw satellite imagery to the standardised 0.125° grid-cell level to match the unit of observation and reduce measurement error from high-frequency background noise.

To capture the full spectrum of economic development across the varying income levels of the Global South, I construct two distinct outcome variables. The Intensive Margin: calculated as the natural logarithm of the average light density in a grid cell, defined as $\ln(\text{light}_i + 0.00001)$ to account for cells with zero recorded light. This measure captures the intensity of economic agglomeration and infrastructure density (Michalopoulos and Papaioannou, 2013). The Extensive Margin: constructed as a binary indicator equal to one if a grid cell emits any detectable light, and zero otherwise. As argued by Keola et al. (2015) and Donaldson and Storeygard (2016), the extensive margin is often a more precise proxy for development in poorer, rural, or sparsely populated regions where variation in light intensity may be indistinguishable from background noise.

The use of nighttime lights as a proxy for development in this context is well-validated. Michalopoulos and Papaioannou (2014) and Hodler and Raschky (2014) demonstrate that luminosity correlates strongly with survey-based measures of wealth, public goods provision, and population density across African sub-national regions. By utilizing both margins, I ensure that my results are not driven solely by urbanisation or the presence of extractive industries, but reflect broader patterns of economic activity.

3.3 Mechanism Data

To move beyond the economic consequences and investigate the hypothesised micro-level mechanism defined as the crisis of representation driven by the institutional mismatch, I employ two distinct types of micro-data that capture individual attitudes and local dynamics.

Afrobarometer. First, I use individual-level survey data from Rounds 1-6 of the Afrobarometer survey, covering 37 African countries from 1999 to 2015. I leverage the sub-nationally geocoded nature of the survey clusters, which allows for precise linkage between respondent attitudes and their specific KII and Legal Origin environment.

The outcomes derived from this data capture the two dimensions of the crisis of representation: state legitimacy, measured by an individual’s trust in formal state institutions (e.g., courts, police), and civic withdrawal, measured by their participation in formal processes such as attending demonstrations or willingness to contact local government. By interacting these outcomes with the KII and the Legal Origin dummy within the narrow border sample, I can test if the negative effect of kinship on institutional engagement is unique to the Civil Law side, supporting the cultural mismatch hypothesis.

Conflict. Second, to validate the mechanism of strategic withdrawal, I construct a high-resolution panel of conflict dynamics using data from the Armed Conflict Location & Event Data Project (ACLED). The panel spans the period 2012–2024, maximizing the temporal coverage of the VIIRS nightlights series. For this specific validation exercise, I refine the unit of observation to a $0.05^\circ \times 0.05^\circ$ grid (approximately 5.5 km $\times$ 5.5 km). This finer, granular resolution is selected to capture hyper-local variation in strike enforcement within towns and villages. I assign each grid cell to either the Anglophone (Common Law) or Francophone (Civil Law) region based on the 1961 Federal Republic of Cameroon administrative boundaries, creating a precise spatial identifier for the institutional treatment.

To disentangle the specific Ghost Town mechanism from general instability, I parse the daily ACLED event logs to construct distinct conflict indicators aggregated to the grid-cell-year level. First, I isolate events specifically related to the Anglophone Crisis by filtering for known separatist actors (e.g., “Ambazonia Defence Forces,” “Red Dragons”) and contrast these with events involving Boko Haram and Islamic State insurgents in the Northern region. The full list of actors classified as ‘Anglophone Crisis’ or ‘Boko Haram’ is provided in

Appendix B.2..

Finally, I leverage the specific event categories to distinguish between “Violence against Civilians” and “Battles/Explosions.” This classification allows for a precise falsification test: if the mechanism is indeed strategic withdrawal enforced by kinship networks, we should observe economic collapse specifically following violence against civilians (a proxy for coercion and strike enforcement) in the Anglophone crisis, but not necessarily following general kinetic warfare or in the Boko Haram conflict.

3.4 Sample Construction

To construct the analysis dataset, I assign variable values to the universal grid defined above using a spatial join procedure based on cell centroids. Specifically, each cell is assigned the KII value of the ethnic homeland and the legal tradition (Civil vs. Common Law) of the contemporary nation-state that contains its centroid, while topographic and climatic variables are first averaged at the grid cell level before being assigned to its centroid.

To ensure the dataset reflects viable economic activity, I restrict the universal grid to populated land masses. Specifically, I only include grid cells that overlap with the Ethnologue’s ethnolinguistic regions, and I exclude cells with zero recorded population in the LandScan database. This cleaned global grid ($N = 722,926$) serves as the sample for the global OLS benchmark; summary statistics are provided in Table 1.

I further impose three restrictions to construct the primary Spatial RDD sample. First, I restrict the sample to partitioned ethnicities: groups whose ancestral homeland is bisected by a contemporary national border. Second, I retain only those partitions where the border separates a Civil Law jurisdiction from a Common Law jurisdiction, excluding borders between identical legal systems (e.g., Civil-Civil). Third, I restrict the sample to grid cells located within 200 km of the boundary to ensure geographic comparability. The resulting dataset consists of 78,370 grid cells across 1,229 partitioned ethnic homelands, creating a set of spatially adjacent counterfactuals subject to different legal regimes. Figure 3 presents

Table 1: Global Summary Statistics by Legal Origin

Variable	(1) Full Sample Mean/SD	(2) Civil Law Mean/SD	(3) Common Law Mean/SD	(4) Difference (2)-(3)
Panel A: Economic Outcomes				
Probability of Light	0.60 (0.49)	0.58 (0.49)	0.65 (0.48)	-0.044 [0.072]
Log Nighttime Luminosity	-7.25 (5.77)	-7.51 (5.74)	-6.60 (5.81)	-0.684 [0.885]
Panel B: Institutional Inputs				
Kinship Intensity Index	-0.45 (0.77)	-0.43 (0.76)	-0.51 (0.78)	0.088 [0.238]
Jurisdictional Hierarchy	3.63 (1.30)	3.78 (1.31)	3.25 (1.21)	0.532** [0.229]
Panel C: Geographic Controls				
Absolute Latitude	33.18 (19.08)	34.19 (20.32)	30.59 (15.18)	4.308 [6.375]
Elevation (m)	633.5 (776.0)	644.6 (837.2)	605.0 (590.1)	43.9 [137.1]
Ruggedness Index	92.6 (136.8)	96.2 (137.1)	83.4 (135.7)	15.4 [14.8]
Distance to Coast (km)	679.45 (613.40)	725.13 (654.31)	562.65 (474.01)	159.052 [104.163]
Distance to River (km)	154.4 (253.6)	155.5 (256.4)	151.6 (246.1)	-7.3 [33.8]
Temperature (°C)	13.61 (11.75)	12.44 (12.32)	16.62 (9.50)	-4.721 [4.215]
Precipitation (mm)	779.5 (702.9)	780.4 (730.9)	777.3 (625.5)	24.8 [129.8]
Agricultural Suitability	0.96 (0.08)	0.96 (0.09)	0.97 (0.04)	-0.012*** [0.004]
Malaria Suitability	2.46 (5.83)	2.40 (5.59)	2.60 (6.40)	-0.263 [1.419]
Observations (Grid Cells)	722,926	519,681	203,245	722,926

Notes. The table reports summary statistics for the global grid-cell sample used in the OLS estimation. Columns 1-3 report Means with Standard Deviations in parentheses. Column 4 reports the difference in means between Civil Law and Common Law jurisdictions, estimated via OLS with Standard Errors clustered two-way at the country and ethnolinguistic family level reported in brackets. For Kinship and Hierarchy, clustered SEs are at the country level due to collinearity with ethnic clusters. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

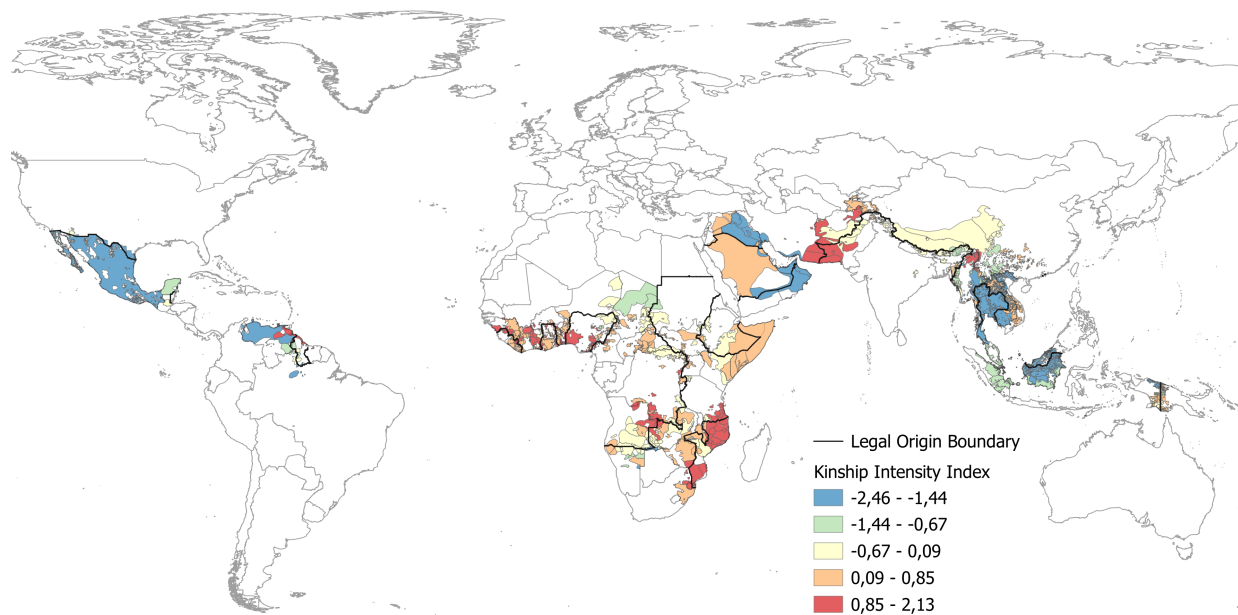


Figure 3: Global Ethnic Groups Partitioned by Legal Origin

Notes. The map illustrates the spatial Regression Discontinuity Design (RDD). The sample is strictly limited to partitioned ethnic homelands that exist on both sides of national borders separating Civil Law and Common Law jurisdictions (within a 200 km bandwidth). Black lines indicate the legal boundaries.

the universe of partitioned ethnic homelands before applying the 200 km bandwidth sample restriction (e.g., for Mexico).

Data Limitations and Validity. I acknowledge three limitations inherent to this spatial data construction. First, the Ethnographic Atlas represents historical norms that may have evolved; however, the persistence of these traits is the precise mechanism under investigation. Second, while I assign traits based on ancestral homelands, substantial migration could dilute these effects. As shown by [Bau \(2021\)](#), this likely introduces classical measurement error, biasing the estimates downward, suggesting my results are conservative. Third, nighttime lights are an imperfect proxy for informal economic activity. However, as noted by [Storeygard \(2016\)](#), they remain the only viable sub-national measure for the global sample, and the use of the *Probability of Light* (extensive margin) mitigates concerns about detecting low-level rural activity.

4 Global Evidence: The Mismatch Penalty

4.1 Cross-Sectional Evidence

I begin by documenting a stylised fact: the negative relationship between kinship intensity and economic development is conditional on the legal institutional environment. While prior literature establishes that tight kinship networks generally impede development by fostering particularised trust (Enke, 2019; Schulz, 2022), I examine whether this penalty persists when these ethnic groups are governed by legal systems capable of accommodating such norms.

I estimate the following OLS specification across a global sample of 1,131 ethnolinguistic homelands:

$$y_{i,c} = \alpha + \beta_1 \text{Kinship}_i + \beta_2 (\text{Kinship}_i \times \text{Common Law}_c) + \mathbf{X}_i' \gamma + \delta_c + \varepsilon_{i,c} \quad (1)$$

where $y_{i,c}$ denotes the log of nighttime luminosity for ethnolinguistic homeland i in country c , and Kinship_i is the standardised Kinship Intensity Index (KII). The vector $\mathbf{X}_i$ comprises the set of geographic and historical controls detailed in Table 2, including population density and pre-colonial centralisation.

The OLS estimation includes country fixed effects (δ_c) in all specifications. These absorb all time-invariant national characteristics, including the direct effect of legal origin and national institutional quality. Consequently, β_2 identifies the differential association between kinship and economic activity under Common Law relative to Civil Law, exploiting only within-country variation in social structure.

Table 2 reports the OLS estimates. Column 1 (Panel A) confirms the standard negative correlation found in the literature: in the aggregate sample, higher Kinship Intensity is associated with significantly lower economic activity. This replicates the baseline finding in Bahrami-Rad et al. (2022).

Panel B documents significant heterogeneity by legal origin. The negative association

Table 2: Kinship Intensity and Economic Activity by Legal Origin

<i>Dependent Variable: Log Nighttime Luminosity</i>			
	(1) Baseline	(2) Controls	(3) Hierarchy
Panel A: Aggregate Relationship			
Kinship Intensity	-0.931 ^{***} (0.354)	-0.203 ^{***} (0.064)	-0.114 (0.095)
Panel B: Split by Legal Origin			
Kinship Intensity	-1.129 ^{***} (0.337)	-0.320 ^{***} (0.048)	-0.243 ^{***} (0.076)
Common Law × Kinship	0.801 (0.486)	0.435 ^{***} (0.134)	0.468 ^{***} (0.126)
Jurisdictional Hierarchy			0.132 ^{**} (0.060)
<i>Marginal Effects of Kinship:</i>			
Slope: Civil Law	-1.129 ^{***}	-0.320 ^{***}	-0.243 ^{***}
Slope: Common Law	-0.328	0.115	0.225 ^{**}
Observations	699,616	684,907	659,229
Clusters	119	113	103
Adj. R-Squared	0.353	0.728	0.731
Country FEs	✓	✓	✓
Geographic Controls		✓	✓
Population Controls		✓	✓

Notes. The table reports OLS estimates of the relationship between Kinship Intensity and Log Nighttime Luminosity. Panel A reports the average effect; Panel B allows the effect to vary by legal origin. The unit of observation is a $0.125^\circ \times 0.125^\circ$ grid cell. All models include country fixed effects (which absorb the time-invariant main effect of Legal Origin). Controls include land suitability, malaria, distance to coast/rivers, temperature, rainfall, ruggedness, elevation, absolute latitude, and population density. Column 3 adds Jurisdictional Hierarchy, a measure of pre-colonial centralization from the Ethnographic Atlas (Murdock, 1967). Kinship Intensity is an index composed of cousin marriage preferences, polygamy, co-residence of families, lineage organization, and community organization (See Bahrami-Rad et al., 2022). Standard errors are two-way clustered at the ethnolinguistic family and country levels and reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

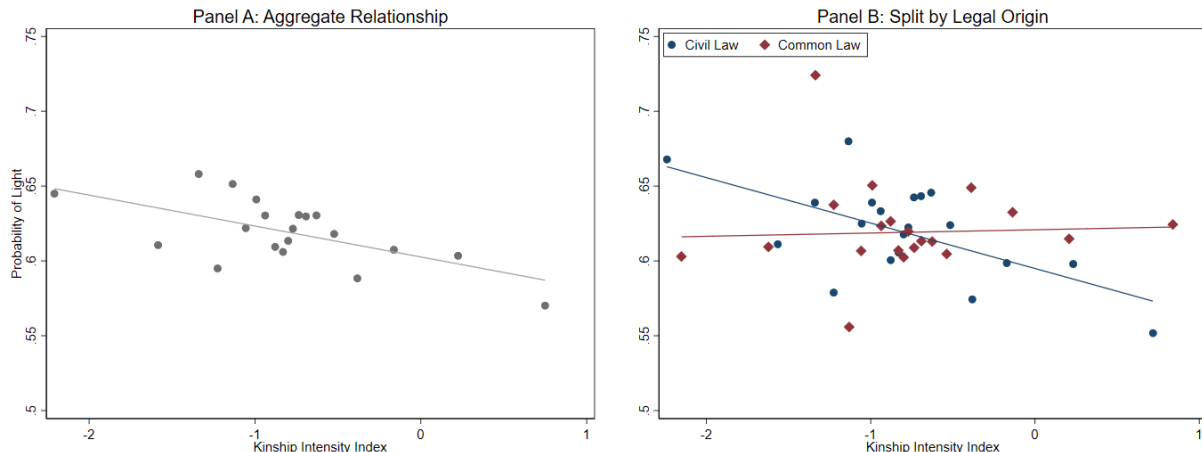


Figure 4: Relationship between Kinship Intensity and Economic Activity by Legal Origin

Notes. The figure presents binned scatterplots of the Kinship Intensity Index against the Probability of Light. Panel A plots the relationship for the full global sample ($N = 1,131$ ethnic homelands). Panel B plots the relationship split by legal origin: Civil Law jurisdictions (blue circles) and Common Law jurisdictions (red diamonds). Linear fit lines are displayed for each subsample. All specifications include country fixed effects.

is driven entirely by Civil Law jurisdictions. In contrast, the interaction term for Common Law is positive and statistically significant, effectively offsetting the negative baseline effect.

The marginal effects reported at the bottom of Table 2 quantify the net relationship. Under Common Law, the coefficient on kinship is statistically indistinguishable from zero in the baseline and becomes positive in the fully controlled specifications (Columns 2 and 3). This result holds and becomes significant when conditioning on jurisdictional hierarchy, ensuring that the estimated interaction is distinct from the documented channel of pre-colonial state centralisation (Michalopoulos and Papaioannou, 2013). Moreover, the negative gradient in Civil Law jurisdictions remains robust and statistically significant across all specifications, implying an institutional mismatch specific to the legal architecture.

Figure 4 visualises the conditional correlations from equation 1. Panel A displays the aggregate within-country relationship. Panel B decomposes this slope by legal origin, plotting the partial correlation between kinship and nightlights after absorbing country fixed effects. The slope for Civil Law (blue circles) is negative, while the slope for Common Law (red

diamonds) is flat. These results suggest that the kinship penalty is not an intrinsic feature of social structure but depends on the institutional environment.

While suggestive, these estimates rely on cross-sectional variation that may be confounded by unobservable historical or geographic factors correlated with kinship and legal origins. To isolate the causal effect of the institutional interaction, I proceed to the spatial regression discontinuity design.

4.2 Causal Identification Strategy

To isolate the causal impact of the institutional mismatch, I employ a spatial Regression Discontinuity Design (RDD) across national borders. This strategy addresses the concern that legal origins and kinship norms may correlate with unobservable historical or geographic confounders in the cross-section.

Central to the identification strategy is the premise that the intersection of legal and cultural spheres is largely accidental. I exploit the arbitrary assignment of legal origins by colonial powers, often imposed without regard for local social structures (La Porta et al., 2008), contrasted against kinship intensity as a deep-rooted, slowly evolving trait (Enke, 2019). To isolate the causal impact of this mismatch, I focus on partitioned ethnicities (Michalopoulos and Papaioannou, 2013, 2014): ethnic homelands bisected by national borders that separate a Civil Law jurisdiction (Treatment) from a Common Law jurisdiction (Control), thereby holding cultural factors constant while varying institutional constraints.

Following Dell (2010) and Keele and Titiunik (2015), I use the geographic distance to the legal border as the running variable. The core identification assumption is that treatment assignment is locally randomised conditional on distance to the border. While institutions change discontinuously at the boundary, pre-determined factors such as geography, climate, and pre-colonial history should vary smoothly. I restrict the full sample to grid cells within 200 km of the boundary to ensure geographic comparability.

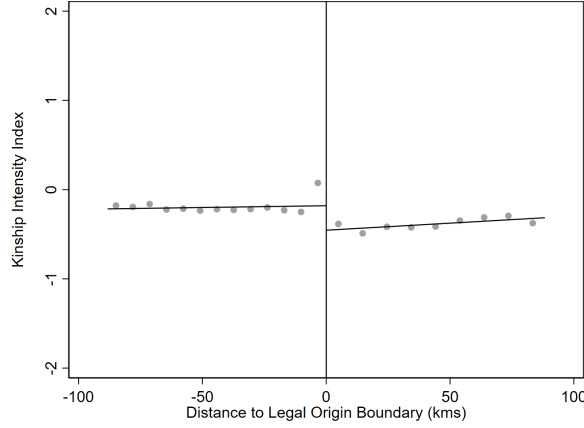


Figure 5: Kinship Intensity across the Legal Origin Boundary

Notes. The figure displays a binned scatterplot of the standardised Kinship Intensity Index against the distance to the border separating Civil Law and Common Law jurisdictions. The sample includes partitioned ethnic homelands within 200 km of the boundary. The solid lines represent local linear polynomial fits estimated separately on each side of the cutoff. The estimated discontinuity at the border is statistically indistinguishable from zero ($p = 0.47$).

Sample Selection and Balance. The validity of the spatial RDD relies on the assumption that potential outcomes vary smoothly at the border in the absence of treatment. I first verify the continuity of the key interaction variable. Figure 5 demonstrates that Kinship Intensity varies smoothly across the legal boundary. This confirms that the design isolates an institutional shock holding social structure constant locally, ruling out the concern that legal borders merely proxy for cultural discontinuities.

A second threat to identification is the coincidence of legal borders with major geographic barriers. Table 3 reports balance tests for geographic covariates. For the High Kinship sample (Columns 2 and 4), the legal boundary separates populations in statistically indistinguishable geographic environments. This confirms that, for the population of interest, the border effectively randomises institutional assignment conditional on location.

In contrast, the unrestricted Low Kinship sample exhibits severe discontinuities (Column 1). The Civil Law side is significantly higher in elevation (+1,640 meters) and more rugged than the Common Law side. This imbalance is driven entirely by the China-India border, which traces the Tibetan Plateau. Because this first-order topographic discontinuity vio-

Table 3: Balance of Covariates across the Legal Boundary

Dependent Variable	Full Sample		Restricted Sample	
	(1) Low Kinship	(2) High Kinship	(3) Low Kinship	(4) High Kinship
Panel A: Fundamental Geography				
Elevation	−1640.895*** (610.888)	63.198 (131.591)	−440.650 (276.894)	41.057 (137.449)
Ruggedness	−144.521** (70.323)	24.243 (23.546)	−2.256 (29.874)	22.992 (25.316)
Distance to Coast	−307.447*** (109.888)	20.777 (90.069)	−164.838 (127.275)	18.302 (88.112)
Distance to River	346.066*** (127.104)	41.790 (35.879)	284.346** (131.502)	47.365 (38.560)
Panel B: Ecology & Climate				
Temperature	11.567*** (3.901)	−0.723 (0.976)	3.787** (1.804)	−0.587 (1.007)
Precipitation	−59.708 (210.606)	−187.301 (205.825)	−220.830 (224.903)	−186.907 (221.154)
Soil Suitability	−0.010** (0.005)	−0.002 (0.004)	−0.008 (0.005)	−0.002 (0.004)
Malaria Suitability	0.385 (1.258)	−1.723 (2.369)	−1.372 (1.412)	−1.722 (2.537)
Avg. Observations	18,246	18,610	13,911	16,337
Avg. Optimal Bandwidth	67.09	84.55	55.40	81.51
Country Pair FEs	✓	✓	✓	✓

Notes. The table reports spatial RD estimates of the difference in geographic characteristics at the legal boundary. Columns 1 and 2 report results for the Full Sample. Columns 3 and 4 report results for the Restricted Sample, which excludes the China-India border to improve geographic comparability. Each set is split by the median Kinship Intensity Index. Each cell reports the bias-corrected robust RD estimate. Standard errors are clustered at the country-pair level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

lates the smoothness assumption, I restrict the baseline sample to exclude this border. As reported in Column 3, this restriction restores balance: the difference in elevation drops to a statistically insignificant 440 meters, and the difference in ruggedness vanishes. The main analysis proceeds with this restricted sample. Results remain unchanged for the full sample (see Appendix Table C.2).

I estimate the causal effect of legal origins using a local linear regression discontinuity design. To isolate the mechanism, I stratify the analysis by social structure, estimating the model separately for High Kinship and Low Kinship societies:

$$y_{i,c} = \alpha_k + \beta_k \text{Common Law}_c + f_k(\text{dist}_i) + \mathbf{X}_i' \gamma + \delta_b + \varepsilon_{i,c}$$

where $y_{i,c}$ denotes the log of nighttime luminosity and Common Law_c is the treatment indicator. The term $f(\text{dist}_i)$ represents a local linear polynomial of the running variable (geodesic distance to the border). Subscript $k \in \{\text{Low}, \text{High}\}$ denotes the subsample defined by the median Kinship Intensity Index. The coefficient of interest, β_k , measures the jump in economic activity at the border for that specific group.

All specifications include the set of geographic and historical controls, country-pair fixed effects (δ_b), and employ a triangular kernel with MSE-optimal bandwidths (Calonico et al., 2014). Standard errors are clustered at the country-pair level. For the baseline estimation, I use the restricted sample (excluding China) to ensure balanced geographic covariates. In Appendix Table 4, I find that including this unbalanced border does not alter the qualitative results.

4.3 Main Results

Table 4 presents the spatial Regression Discontinuity estimates. Panel A reports the results for the High Kinship sample ($KII > \text{Median}$), which constitutes the primary test of the institutional mismatch hypothesis.

Table 4: The Causal Effect of Institutional Mismatch: RD Estimates

	<i>Dependent Variable: Log Nighttime Luminosity</i>			
	(1)	(2)	(3)	(4)
Specification:	CCT	2.0× CCT	Fixed BW	Quadratic
Bandwidth:	Optimal	Wide	200 km	Optimal
Panel A: High Kinship				
RD Estimate	1.908** (0.822)	1.995** (0.786)	1.921** (0.751)	1.925** (0.911)
Control Mean	-9.60	-9.57	-9.89	-9.61
Observations	8,950	16,598	31,819	11,908
Clusters	48	50	50	49
Bandwidth (km)	43.8	87.5	200.0	59.8
Panel B: Low Kinship				
RD Estimate	-0.567 (0.392)	-0.283 (0.379)	0.324 (0.397)	-1.102* (0.575)
Control Mean	-8.92	-9.44	-9.51	-9.18
Observations	8,246	15,279	34,502	10,893
Clusters	48	49	49	48
Bandwidth (km)	31.5	62.9	200.0	42.8
Polynomial Order	1	1	1	2
Kernel	Tri	Tri	Uni	Tri
Country Pair FEs	✓	✓	✓	✓
Full Controls	✓	✓	✓	✓

Notes. The table reports spatial RD estimates of the effect of Common Law relative to Civil Law, dropping China from the global sample to achieve balance among Low Kinship groups. The unit of observation is a $0.125^\circ \times 0.125^\circ$ grid cell. Panel A restricts the sample to High Kinship groups; Panel B restricts to Low Kinship groups. Column 1 uses the MSE-optimal bandwidth (Calonico et al., 2014). Column 2 doubles this bandwidth. Column 3 uses a fixed 200km bandwidth with a uniform kernel to grant equal weight to all observations in the broader border region. Column 4 fits a local quadratic polynomial. Standard errors are clustered at the country-pair level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Across all specifications, the causal effect of Common Law institutions (relative to Civil Law) is positive, large, and statistically significant. The baseline point estimate using the MSE-optimal bandwidth (Column 1) implies that for high-kinship societies, crossing the border from a Civil Law to a Common Law jurisdiction generates a substantial increase in economic activity.

To gauge the economic magnitude of this ‘mismatch penalty,’ I convert the estimated nightlight differences at the intensive margin into implied GDP per capita. Following the elasticity estimates established by [Henderson et al. \(2012\)](#), who find that a 1% increase in nightlights corresponds to roughly a 0.3% increase in GDP growth, the baseline RD estimate of 1.90 log points (Column 1) suggests a substantial divergence in real economic output. Applying this elasticity implies that high-kinship ethnic homelands under Common Law enjoy approximately 77% higher economic activity than their counterparts under Civil Law ($1.90 \times 0.3 \approx 0.57$ log points of GDP, $e^{0.57} \approx 1.77$). To put this in perspective, this gap is comparable to the persistent income disparity observed a country like Ghana (3,190 per capita) and Cameroon (2,030 per capita) or Kenya vs. Uganda. It effectively means moving from a “low-income” to a “lower-middle-income” trajectory.

These intensive margin estimates likely represent an upper bound of the economic impact, as they condition on the existence of light. Turning to the extensive margin—the probability of detecting any light at all—provides a more conservative assessment that is particularly well-suited to the African context, where low electrification rates make the binary distinction between ‘dark’ and ‘lit’ a primary indicator of development. Column 1 of Table 5 reports that Common Law governance increases the probability of light by 17.3 percentage points relative to a Civil Law baseline of 47%—a 36.8% increase in the spatial extent of economic activity. Applying the same 0.3 elasticity to this extensive expansion implies a $\approx 11\%$ differential in GDP per capita.

For the remainder of the paper, I rely primarily on the extensive margin estimates. This approach is not only conservative but also methodologically superior, as it mitigates

the high signal-to-noise ratio inherent in low-luminosity readings. In rural and peri-urban contexts, variation in light intensity is often distorted by sensor blooming and unstable voltage, whereas the presence of stable nightlights serves as a far more reliable proxy for the existence of permanent infrastructure and electrified settlements (Chen and Nordhaus, 2011; Storeygard, 2016). Given that the subsequent analysis focuses on Sub-Saharan Africa and Cameroon, relying on this extensive margin reinforces I am capturing genuine variation in economic capacity rather than artifacts of measurement error.

The estimated effects for both the extensive and intensive margins are robust to bandwidth selection and functional form. As reported in Columns 2 through 4, doubling the bandwidth, employing a local quadratic polynomial, or using a uniform kernel yields estimates that are statistically indistinguishable from the baseline magnitude. These results verify that the development penalty imposed by Civil Law on high-kinship groups is a consistent structural feature of the data, not an artifact of parameter selection.

Falsification: Low Kinship Societies. Panel B reports the estimates for the Low Kinship sample ($KII < \text{Median}$), restricted to exclude the China-India border to ensure validity.

In contrast to the high-kinship results, the RD estimates for low-kinship societies are small in magnitude and statistically indistinguishable from zero across all specifications, except for the quadratic polynomial estimation showing a moderate sign of reversal. This general null result is insightful for the interpretation of the mechanism: it indicates that the development gap is not driven by a universal inefficiency of Civil Law institutions. Rather, the penalty seems to arise specifically from the interaction between rigid legal institutions and tight kinship norms.

Figure 6 visualises these contrasting effects. Panel B (High Kinship) displays a sharp, discontinuous drop in economic activity at the border as one moves from Common Law to Civil Law. Conversely, Panel A (Low Kinship) shows no such discontinuity, with economic activity varying smoothly across the legal boundary.

Table 5: The Causal Effect of Institutional Mismatch: RD Estimates

	<i>Dependent Variable: Probability of Light</i>			
	(1)	(2)	(3)	(4)
Specification:	CCT	2.0× CCT	Fixed BW	Quadratic
Bandwidth:	Optimal	Wide	200 km	Optimal
Panel A: High Kinship				
RD Estimate	0.173** (0.078)	0.158** (0.078)	0.122*** (0.063)	0.195** (0.090)
Control Mean	0.47	0.45	0.43	0.45
Observations	7,561	13,877	31,822	10,766
Clusters	48	50	50	49
Bandwidth (km)	35.6	71.3	200.0	53.1
Panel B: Low Kinship				
RD Estimate	-0.040 (0.056)	0.028 (0.054)	0.052 (0.037)	-0.063 (0.068)
Control Mean	0.50	0.45	0.44	0.46
Observations	8,119	15,058	34,502	12,053
Clusters	48	49	49	48
Bandwidth (km)	30.9	61.9	200.0	47.6
Polynomial Order	1	1	1	2
Kernel	Tri	Tri	Uni	Tri
Country Pair FEs	✓	✓	✓	✓
Full Controls	✓	✓	✓	✓

Notes. The table reports spatial RD estimates of the effect of Common Law relative to Civil Law, dropping China from the global sample to achieve balance among Low Kinship groups. The unit of observation is a $0.125^\circ \times 0.125^\circ$ grid cell. Panel A restricts the sample to High Kinship groups; Panel B restricts to Low Kinship groups. Column 1 uses the MSE-optimal bandwidth (Calonico et al., 2014). Column 2 doubles this bandwidth. Column 3 uses a fixed 200km bandwidth with a uniform kernel to grant equal weight to all observations in the broader border region. Column 4 fits a local quadratic polynomial. Standard errors are clustered at the country-pair level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

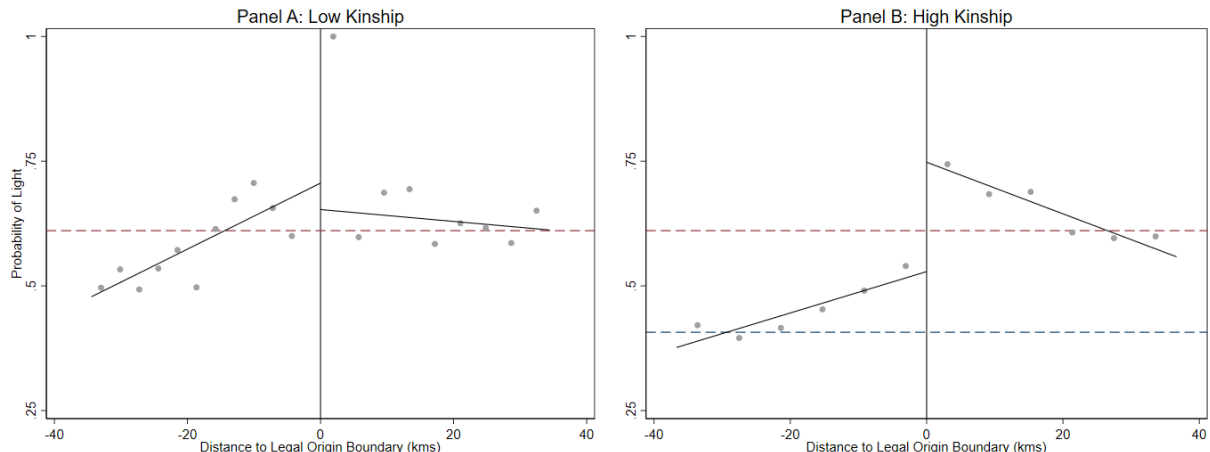


Figure 6: Spatial Regression Discontinuity Plots by Kinship Intensity

Notes. The figure plots the log of nighttime luminosity against the geodesic distance to the border separating Civil Law (negative values) and Common Law (positive values) jurisdictions. Panel A displays the Low Kinship sample ($KII < \text{Median}$), restricted to exclude the China-India border to ensure geographic balance. Panel B displays the High Kinship sample ($KII > \text{Median}$). Dots represent binned sample means. Solid lines represent local linear polynomial fits estimated separately on each side of the cutoff. The red horizontal dashed line represents the mean outcome in the Low Kinship sample. The blue dashed line represents the mean outcome in the High Kinship Civil Law sample.

Finally, it is helpful to provide a back-of-the-envelope calculation to assess the aggregate cost of this institutional mismatch. The extensive margin estimates suggest that for a high-kinship region, the mismatch penalty of Civil Law lowers economic density by approximately 11%. Considering that roughly 37% of the sample population lives in high-kinship regions governed by Civil Law legacies, resolving this mismatch—either through legal decentralization or the integration of customary norms—could theoretically raise aggregate output in these nations by up to 4%. While these extrapolations require caution, they highlight that the kinship penalty is economically relevant, while not an immutable cultural constant, but a policy variable directly responsive to institutional design.

5 Mechanism: Crisis of Representation

Having established the negative economic consequences of the institutional mismatch, I now investigate the political mechanism. I hypothesise that when formal legal institutions contradict the moral imperatives of kinship (e.g., by criminalizing nepotism or enforcing individual property rights over communal claims), high-kinship groups view the state as illegitimate. This crisis of representation could consequently lead to a withdrawal from the formal democratic process.

5.1 Data and Identification Strategy

To test this mechanism, I leverage geocoded micro-data from the Afrobarometer, a pan-African series of nationally representative surveys on political attitudes and behaviour. I rely on the spatially disaggregated dataset provided by [BenYishay et al. \(2017\)](#), which covers Rounds 1 through 6 (1999–2015). The survey provides information about the priorities, preferences, experiences, and opinions of more than 200,000 African citizens in 28,000 localities.

To assign kinship values to individuals, I spatially match each respondent to their ancestral ethnic homeland from the Ethnographic Atlas ([Murdock, 1967](#)), based on the GPS coordinates of the enumeration area. This allows me to link individual political attitudes to the pre-colonial Kinship Intensity Index (KII) directly. Consistent with the economic analysis in Section 4, I restrict the sample to respondents located within the partitioned ethnic homelands spanning the Civil Law-Common Law border. The final estimation sample comprises 15,770 respondents across 44 partitioned ethnic groups.

The identification strategy mirrors the spatial RDD employed in Section 4 but operates at the individual level. I compare the attitudes and behaviours of individuals belonging to the same ethnic group and residing in the same geographic environment, but subject to different legal systems.

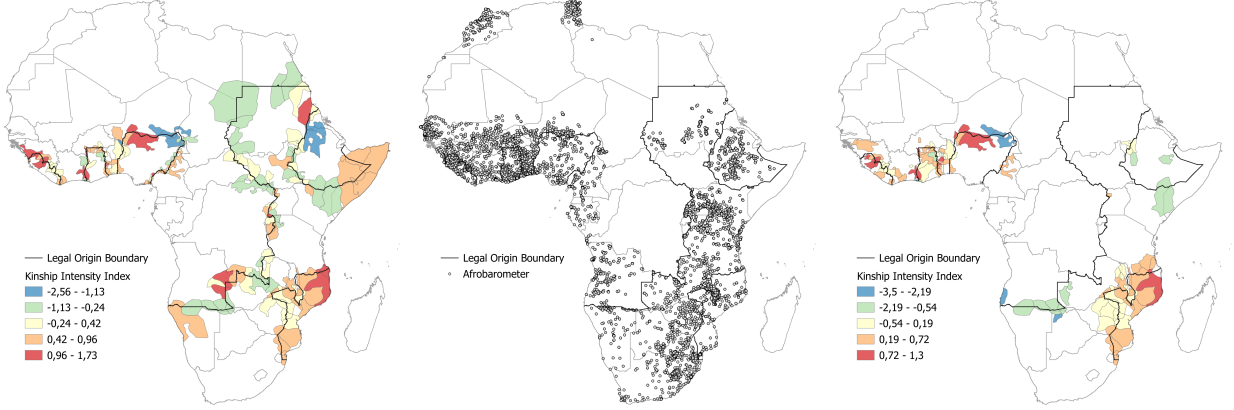


Figure 7: Afrobarometer Sampling and Partitioned Ethnic Homelands

Notes. The figure illustrates the spatial overlap between the Regression Discontinuity sample and Afrobarometer survey coverage. Left Panel: All partitioned ethnic homelands in sub-Saharan Africa. Middle Panel: The universe of Afrobarometer respondents (geocoded clusters). Right Panel: The final estimation sample restricted to partitioned groups intersected by the legal boundary. Black lines indicate national legal borders.

The core identifying assumption remains that, conditional on distance to the border, the assignment of individuals to legal origins is locally randomised. The inclusion of the same country-pair fixed effects ensures that comparisons are made strictly between neighbours. A further advantage of the micro-data is the ability to control for individual-level covariates (such as education, age, and gender) which improves precision and accounts for potential demographic imbalances.

I estimate the following local linear regression separately for High Kinship and Low Kinship individuals:

$$y_{ihc} = \alpha_k + \beta_k \text{Common Law}_c + f_k(\text{dist}_h) + \mathbf{X}'_i \gamma + \mathbf{Z}'_i \Gamma + \delta_b + \varepsilon_{ihc}$$

where y_{ihc} is the outcome of interest (e.g., Trust in Courts) for individual i in ethnic homeland h and country c . Common Law_c is the treatment indicator. The term $f_k(\text{dist}_h)$ is a local linear polynomial of the geodesic distance from the respondent's enumeration area to the border. The vector $\mathbf{X}_i$ again comprises the set of geographic and historical controls.

The vector $\mathbf{Z}_i$ includes individual controls: age, a gender indicator, and educational

Table 6: Afrobarometer Balance Check: Covariates by Kinship Intensity

Dependent Variable	(1) Low Kinship	(2) High Kinship
Panel A: Fundamental Geography		
Elevation	−146.792 (222.789)	−41.642 (215.427)
Ruggedness	−32.400 (76.955)	87.407 (63.287)
Distance to Coast	−2.145 (1.823)	0.298 (1.599)
Distance to River	11.423 (10.469)	−5.724 (17.640)
Panel B: Ecology & Climate		
Temperature	1.138 (1.732)	−0.529 (1.479)
Precipitation	526.662 (393.047)	−175.553 (373.665)
Soil Suitability	0.000 (0.004)	−0.003 (0.007)
Malaria Suitability	3.849 (5.255)	4.596 (3.519)
Panel C: Colonial Infrastructure		
Railways	63.614 (94.757)	3.440 (51.750)
Mission Stations	−34.649 (59.908)	22.014 (21.371)
Avg. Observations	2,067	3,059
Avg. Bandwidth (km)	50.67	51.31
Country Pair FEs	✓	✓

Notes. The table reports spatial RD estimates of the difference in geographic characteristics at the legal boundary, for the Afrobarometer sample. Columns 1 and 2 split the sample by the median Kinship Intensity Index. Each cell reports the bias-corrected robust RD estimate for the indicated dependent variable. Standard errors (in parentheses) are derived from the 95% confidence intervals. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

attainment. δ_b denotes country-pair fixed effects. Standard errors are clustered at the country-pair level to account for spatial correlation in errors within border segments.

5.2 State Legitimacy and Institutional Trust

To capture the extent of institutional alienation, I construct a summary State Legitimacy Index. This index aggregates responses to Afrobarometer questions regarding trust in ten formal state institutions, including the courts of law, police, and parliament. These institutions represent the primary interface between the citizen and the formal legal state. A lack of trust in these specific bodies suggests a rejection of the state’s enforcement and legislative monopoly.

Following standard practice to facilitate interpretation ([Kling et al., 2007](#)), I first standardise each component variable to have a mean of zero and a standard deviation of one. I then calculate the unweighted average of these components and standardise the final index. This ensures that the estimated coefficients represent standard deviation changes in generalised state legitimacy. The full list of components and the construction details are provided in Appendix B.

Legitimacy Gap. Panel A of Table 7 presents the results on state legitimacy. Column (2) reports the estimates for High Kinship individuals. The results reveal a pervasive legitimacy gap in Civil Law jurisdictions. The aggregate State Trust Index is 0.333 standard deviations higher under Common Law, indicating that high-kinship groups view the Civil Law state as significantly less legitimate.

Decomposing the index reveals that this alienation is driven by specific frictions with the state’s coercive and representative machinery. As shown in the rows below the index, the gap is most acute regarding institutions of enforcement, specifically the Courts of Law, the Tax Office, and the Army, as well as institutions of political voice, such as Parliament. High-kinship respondents under Civil Law are also significantly less likely to report that their

Table 7: Legal Origins, State Legitimacy, and Civic Engagement by Kinship Intensity

Dependent Variable	(1) Low Kinship	(2) High Kinship
Panel A: State Legitimacy & National Representation		
State Trust Index	0.012	0.333***
Trust in Courts	0.047	0.536***
Trust in Police	-0.310***	0.238*
Trust in Army	-0.100	0.468***
Trust in Tax Office	-0.015	0.487***
Trust in Electoral Comm.	0.136	0.401***
Trust in Parliament	-0.201	0.495***
Trust in Ruling Party	0.059	0.531***
Trust in Opposition	-0.196	0.340**
MP Listens	0.133	0.510***
MP Performance	-0.163	0.246*
Panel B: Civic Engagement		
Political Participation Index	-0.191**	0.201**
Panel C: Local Intermediaries		
Trad. Leader Influence	0.222***	0.327***
Trad. Leader Corruption	-0.264*	-0.317**
Trust in Trad. Leaders	0.061	0.169**
Trust in Local Council	0.131	0.332**
Local Councillor Listens	-0.055	0.376**
Local Councillor Performance	0.151	0.296***
Country Pair FEs	✓	✓
Full Controls	✓	✓

Notes. The table reports RD estimates of the effect of legal origin (Common vs. Civil Law). The unit of observation is an individual, geocoded at the village- and town-level. The sample is split by the median Kinship Intensity Index to contrast the effect in low-kinship societies (Column 1) vs. high-kinship societies (Column 2). Panel A aggregates measures of state legitimacy and national representation. Panel B reports the index of active civic engagement. Panel C reports the integration and responsiveness of local intermediaries. Positive coefficients indicate higher trust/participation under Common Law (except for Corruption, where negative is better). Standard errors are clustered at the country-pair level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Member of Parliament listens to them. This pattern underscores that the mismatch is not merely an abstract sentiment but a perceived failure of the state to provide fair adjudication and effective representation.

Column (1) shows that this legitimacy crisis is absent in Low Kinship societies. For individuals with loose kinship ties, the State Trust Index is statistically identical across the legal boundary, and the estimates for specific institutions are overwhelmingly small and insignificant, except for a reversal of trust in police forces consistent with patterns observed elsewhere.⁴ This null result suggests that the delegitimisation of the state is not an inherent feature of Civil Law, but arises specifically from its incompatibility with tight kinship norms.

In terms of magnitude, the 0.33 standard deviation gap in state legitimacy equates to 0.25 on a 3-point scale and is economically meaningful. To benchmark this effect, I compare it to cross-national differences in the Afrobarometer sample. The ‘mismatch penalty’ on trust is roughly equivalent to the gap between Zambia and Zimbabwe observed in recent survey rounds.⁵ In distributional terms, the imposition of Civil Law shifts the median high-kinship respondent from the 50th percentile of the Common Law trust distribution down to approximately the 37th percentile. This implies that the mismatch does not merely reduce marginal confidence but fundamentally shifts the citizen-state relationship from one characterised by cautious cooperation (e.g., Zambia) towards one more characterised by alienation (e.g., Zimbabwe) (see [Levitsky and Way, 2010](#)).

5.3 Political Participation and Exit

Exit Option. If high-kinship groups view the state as illegitimate, how do they respond? I hypothesise that this alienation leads to political exit: a withdrawal from the formal democratic process ([Hirschman, 1972](#)). Panel B tests this by estimating the effect on the Political

⁴While Common Law jurisdictions have historically enjoyed high police legitimacy, recent data indicates a significant erosion of this trust in the UK and US (low-kinship societies), falling below the levels observed in low-kinship Civil Law contexts ([Hough et al., 2013](#); [Roché and Fleming, 2022](#); [Rogers et al., 2024](#)).

⁵In Afrobarometer Round 7/8 data, the gap between Zambia and Zimbabwe on institutional trust is around 10–15 percentage points ([Afrobarometer, 2024](#)).

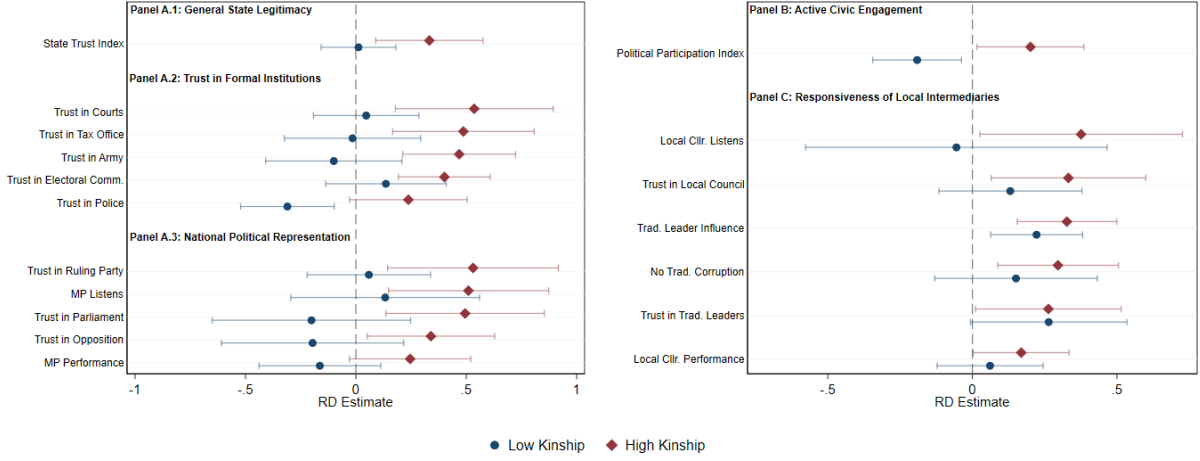


Figure 8: Heterogeneous Effects of Legal Origin on State Legitimacy and Participation

Notes. The figure displays regression discontinuity estimates of the effect of Common Law institutions (relative to Civil Law) on individual attitudes and behaviours. The sample is stratified by the median Kinship Intensity Index: High Kinship (red diamonds) and Low Kinship (blue circles). Coefficients represent standardised effect sizes (standard deviations). A positive value indicates higher trust, participation, or perceived quality of governance under Common Law. The variable "Traditional Leader Corruption" is inverted so that a positive coefficient indicates lower perceived corruption (i.e., better outcomes). Panel B reports effects on the Political Participation Index, a standardised composite of joining issues, meeting attendance, and protest participation, see Figure D.1 for the decomposition. All specifications include country-pair fixed effects, individual demographic controls (age, gender, education), and the full vector of geographic covariates. Bars represent 95% confidence intervals clustered at the country-pair level.

Participation Index, a composite measure of joining issues, attendance at community meetings, and participation in demonstrations.

The results confirm that the crisis of representation translates into behavioural disengagement. For high-kinship individuals, residence in a Civil Law jurisdiction is associated with a significant decline in civic participation ($\beta = 0.201$ SD). This suggests that the institutional mismatch does not merely generate passive distrust; it demobilises the population. Faced with a legal system that fails to reflect their moral values, high-kinship communities opt out of the public sphere. Interestingly, this relationship appears to be inverted for low-kinship societies, where the estimated effect is negative ($\beta = -0.191$ SD). This suggests that the rigid, top-down structure of the Civil Code may actually be better aligned with the social

topology of the nuclear family, further validating that state legitimacy depends on the match between formal rules and informal norms rather than legal origin alone.

Failure of Local Integration. Panel C investigates the structural source of this alienation: the integration of local intermediaries. Historically, Common Law colonial administration relied on Indirect Rule, incorporating chiefs and local councils into the state apparatus. In contrast, the Civil Law tradition favoured Direct Rule, often bypassing or stripping power from customary authorities.

The estimates confirm that this historical divergence persists. Under Common Law, traditional leaders retain significantly greater influence and are viewed as less corrupt. Furthermore, the representation gap extends to local democracy: high-kinship citizens under Civil Law are significantly less likely to believe that their Local Councillors listen to them. This suggests that the Common Law advantage stems from its ability to co-opt local brokers who bridge the gap between the state and the kin network, whereas the centralised Civil Law structure marginalises them, leaving high-kinship citizens with no effective interface to the state.

5.4 Alternative Explanations

A fundamental challenge in identifying the causal effect of legal origins is the historical bundling of colonial institutions: Common Law jurisdictions frequently coincided with the administrative practice of Indirect Rule, whereas Civil Law regimes often employed Direct Rule. Consequently, a skeptical interpretation of the mismatch penalty is that it stems not from the rigidity of the legal code, but simply from the administrative dismantling of local political structures under the French colonial model. If the Common Law advantage is merely an artifact of Indirect Rule (see [Iyer, 2010](#)), essentially a strategic surrender of governance to customary authorities, I should observe a substitution effect where heightened traditional legitimacy comes at the expense of formal state capacity.

Table 8 addresses this hypothesis by restricting the analysis to Centralised Societies (Jurisdictional Hierarchy ≥ 2). This is the specific subset of high-kinship groups where colonial Indirect Rule was most active. The results reject the weak state hypothesis. While Panel A confirms that Common Law significantly strengthens traditional authority, Panel B reveals that the effect on *formal* state institutions is substantially larger. For these centralised groups, the Common Law premium on Trust in Courts is a massive 0.758 standard deviations.

Panel C reports the effect on “Relative Trust” (Standardised Trust in Courts minus Standardised Trust in Traditional Leaders). The positive coefficient ($\beta = 0.344$) indicates that under Common Law, citizens actually place relatively *greater* trust in the modern legal system than in traditional authorities compared to their Civil Law counterparts. This implies a relationship of complementarity: by integrating traditional norms, the Common Law system does not capitulate to custom; rather, it leverages local legitimacy to build a stronger, more trusted modern state.

Table 8: Legal Origins, Traditional Authority, and State Legitimacy in Centralised Societies

Dependent Variable	(1) Centralized Societies (High Kinship)
Panel A: The "Indirect Rule" Baseline (Traditional Authority)	
Trust in Trad. Leaders	0.354 ^{***}
Trad. Leader Influence	0.387 ^{***}
Corruption: Trad. Leaders	-0.253 ^{**}
Panel B: The State Legitimacy Premium (Formal Authority)	
Trust in Courts	0.758 ^{***}
Trust in Parliament	0.529 ^{***}
Trust in Local Council	0.428 ^{***}
Corruption: Civil Servants	-0.258 ^{**}
Panel C: Relative Legitimacy (State vs. Custom)	
Relative Trust (Courts - Chiefs)	0.344 ^{***}
Avg. Observations	1,667
Avg. Bandwidth (km)	30.4
Country Pair FEs	✓
Full Controls	✓

Notes. The table reports RD estimates of the effect of Common Law relative to Civil Law, restricted to the sample of High Kinship Centralized Societies (Jurisdictional Hierarchy ≥ 2). This restriction isolates the subsample where historical "Indirect Rule" was most active. Panel A shows that while Common Law does increase trust in traditional leaders, Panel B reveals that the effect on formal state institutions (Courts, Parliament) is substantially larger in magnitude. Panel C reports the effect on Relative Trust, defined as standardized Trust in Courts minus standardized Trust in Traditional Leaders. Each coefficient is based on the maximal non-missing sample for that outcome and the Relative Trust variable is separately standardised. Corruption variables are coded such that negative values indicate lower reported corruption (better outcomes). Standard errors are clustered at the country-pair level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

6 Validation: The Anglophone Crisis

The cross-sectional results establish that institutional mismatch is associated with lower development and political alienation. To validate the causal mechanism, I exploit a natural experiment: the sudden imposition of Civil Law institutions upon a Common Law society.

6.1 The 2016 Judicial Shock

Cameroon is uniquely divided between a Francophone majority (Civil Law) and an Anglophone minority (Common Law), a legacy of the partition of German Kamerun between France and Britain after WWI. Following the 1961 plebiscite, the territories united as the *Federal Republic of Cameroon*, a constitutional arrangement designed to preserve the institutional autonomy of the Anglophone minority. However, this federal structure was unilaterally dismantled by the central government in 1972 in favour of a unitary state—a move widely perceived by Anglophones as a forced annexation. This structural marginalisation, referred to in the literature as the Anglophone Problem, entrenched a deep-seated grievance regarding the preservation of Anglophone identity ([Konings and Nyamnjoh, 2003](#)).

Over the subsequent decades, the centralised state progressively eroded Common Law protections, though the Anglophone regions retained their distinct legal and educational systems. The flashpoint arrived in late 2016, when the Francophone central government attempted to fully harmonise the judicial system by appointing Civil Law judges—who often did not understand English or Common Law precedents—to courts in the Anglophone region ([Pommerolle and Heungoup, 2017](#); [Beseng et al., 2023](#)).

The appointment of Civil Law judges in late 2016 serves as the specific treatment event—an exogenous increase in Institutional Mismatch. This imposition triggered immediate mass protests by Anglophone lawyers and teachers, citing the incompatibility of the legal traditions ([Ekah, 2020](#)). The state’s repressive response escalated the conflict into a

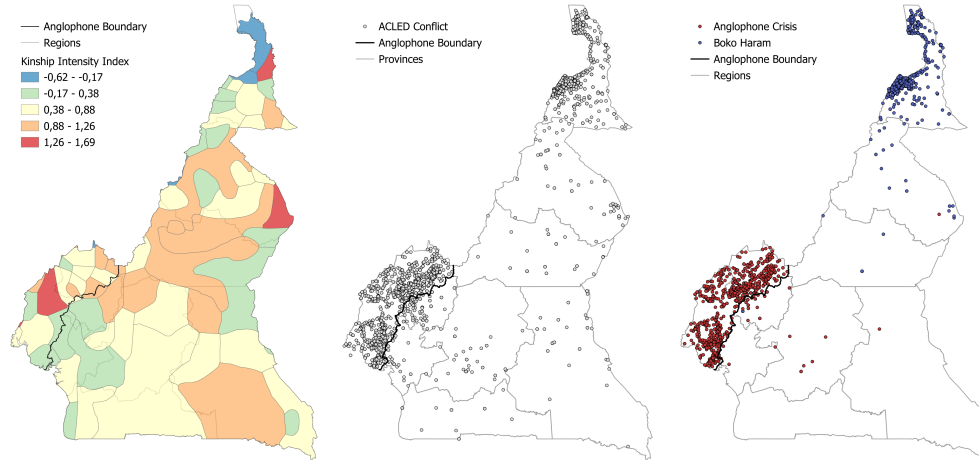


Figure 9: Kinship Structure and Conflict Clusters in Cameroon

Notes. The figure maps the spatial variation in social structure and conflict exposure. The left panel displays the Kinship Intensity Index (KII) across the ethnic groups of Cameroon, where darker red indicates tighter kinship norms. The centre panel displays the location of violent events recorded by the Armed Conflict Location & Event Data (ACLED) database (1997–2024). Two distinct conflict clusters are visible in the right panel: the Anglophone Crisis in the South-West (Common Law zone, initiated late 2016) and the Boko Haram insurgency in the Far North (Civil Law zone, initiated 2014).

separatist insurgency.⁶

For this study, the primary tool of resistance and civil disobedience was the “Ghost Town” (*ville morte*)—a series of general strikes enforced by local communities. Every Monday, and often for weeks at a time, all economic activity was banned to delegitimise the state. Shops were shuttered, schools closed, and transport halted.

I hypothesise that Kinship Intensity served as the enforcement technology for these strikes. Sustaining a general strike requires solving a collective action problem: preventing individual merchants from defecting to open their shops for profit. In high-kinship communities, dense social networks could effectively punish defectors, thereby sustaining the economic shutdown. In low-kinship areas, collective action failed, and economic activity continued.

⁶On 1 October 2017, the Southern Cameroon Ambazonia Consortium United Front (SCACUF) marked the anniversary of the independence of the Republic of Ambazonia from British rule by unilaterally declaring the independence of Ambazonia (Nshom, 2025).

Figure 9 illustrates the setting and identification strategy. The right panel highlights the Anglophone conflict zone in the South-West, and the Boko Haram insurgency in the Far North. The left panel reveals substantial variation in Kinship Intensity within this zone, providing the necessary variation to test whether social structure modulated the economic impact of the institutional shock.

6.2 Identification Strategy

To isolate the causal role of social structure in mediating the institutional shock, I observe economic activity in grid cells across Cameroon from 2013 to 2020. The identification exploits variation in three dimensions: (i) spatial exposure to the institutional shock (Anglophone vs. Francophone regions), (ii) temporal exposure (pre- vs. post-2016), and (iii) cross-sectional variation in the pre-colonial Kinship Intensity Index.

My estimation strategy proceeds in two steps. First, to verify the parallel trends assumption and trace the temporal evolution of resistance, I exploit the variation in the *de facto* implementation of the boycott. While the *de jure* institutional shock (the 2016 policy) was regional and simultaneous, the onset of active resistance (Ghost Towns) was locally staggered. I employ the estimator proposed by Callaway and Sant’Anna (2021), which allows for treatment effect heterogeneity and staggered adoption. I estimate group-time average treatment effects, $ATT(g, t)$, measuring the impact of conflict onset for units treated at time g in period t , using not-yet-treated and never-treated units as controls:

$$ATT(g, t) = \mathbb{E}[Y_t - Y_{g-1} | G_g = 1] - \mathbb{E}[Y_t - Y_{g-1} | C = 1] \quad (2)$$

To examine the mediating role of social structure, I estimate these parameters separately for the High and Low Kinship subsamples. I then aggregate these parameters by event-time e

(where $e = t - g$) to recover the dynamic parameters $\theta_{es}(e)$:

$$\theta_{es}(e) = \sum_g \sum_t \mathbb{I}[t - g = e] w_{g,t} \widehat{ATT}(g, t) \quad (3)$$

This dynamic specification allows me to explicitly test for pre-trends (where $e < 0$) and observe whether the economic divergence coincides precisely with the locally heterogeneous onset of the crisis ($e \geq 0$).

Second, to quantify the aggregate impact of social structure on the economic collapse following the regional policy shock, I estimate the following Triple-Difference (DDD) specification in the Appendix:

$$\begin{aligned} y_{it} = & \alpha + \beta_1(\text{Anglophone}_i \times \text{Post}_t) \\ & + \beta_2(\text{Post}_t \times \text{Kinship}_i) \\ & + \beta_3(\text{Anglophone}_i \times \text{Post}_t \times \text{Kinship}_i) \\ & + \mathbf{X}'_{it}\Gamma + \delta_i + \gamma_t + \varepsilon_{it} \end{aligned} \quad (4)$$

Anglophone_i is an indicator for cells located in the Common Law (Southwest/Northwest) regions. Post_t is an indicator for years following the 2016 judicial imposition (2017–2020). Kinship_i is the continuous standardised index of kinship intensity. The specification includes grid cell fixed effects (δ_i) to absorb all time-invariant geographic and cultural characteristics, and year fixed effects (γ_t) to absorb national economic shocks. The coefficient of interest is β_3 . A negative β_3 would indicate that the economic collapse was deeper in high-kinship areas, consistent with the hypothesis that tight social networks facilitated the enforcement of Ghost Town strikes.

A potential confounder is that high-kinship areas might simply have experienced more violence (collateral damage) rather than strategic economic shutdowns. To address this, I estimate a mechanism specification that explicitly controls for conflict intensity. I split the

treatment by specific conflict types derived from ACLED data: (i) *Violence Against Civilians* (a proxy for enforcement/predation) and (ii) *Battles/Explosions* (a proxy for physical destruction). If β_3 remains robust after controlling for kinetic warfare, it implies the economic collapse is driven by non-violent non-cooperation (strikes), rather than physical destruction.

6.3 The Cost of Imposition

I begin by inspecting the raw trends in economic activity. Figure 10 plots the probability of nighttime light separately for the Low Kinship (Panel A) and the High Kinship (Panel B) samples. In Low Kinship areas (Panel A), trends in the Anglophone (Treatment) and Francophone (Control) regions track each other relatively closely throughout the entire period, though they display a reversal of fortune pattern. There seems to be no structural break following the 2016 crisis, suggesting that without the enforcement capacity of kinship networks, the institutional shock did not trigger a sustained economic shutdown.

Panel B, however, reveals two notable patterns. First, the baseline levels prior to 2016 perfectly replicate the global mismatch penalty documented in Section 4: Francophone High Kinship groups (blue line) exhibit significantly lower economic activity, while Anglophone High Kinship groups (red line) perform on par with the Low Kinship benchmark. This confirms that the Civil Law penalty was already present in the static equilibrium.

Second, the response to the shock is dramatic. Immediately following the judicial imposition in 2016, Anglophone economic activity collapses, erasing its historical advantage and converging downward toward the Francophone level. This sharp divergence implies that the economic costs of the crisis were concentrated almost entirely in communities with the social structure capable of enforcing collective resistance.

Figure 11 presents the timing of the response using the dynamic difference-in-differences estimator of Callaway and Sant’Anna (2021). Panel A plots the estimated impact on economic activity (probability of nightlight). The coefficients in the pre-period ($T < 0$) are statistically indistinguishable from zero for both groups. This absence of differential pre-

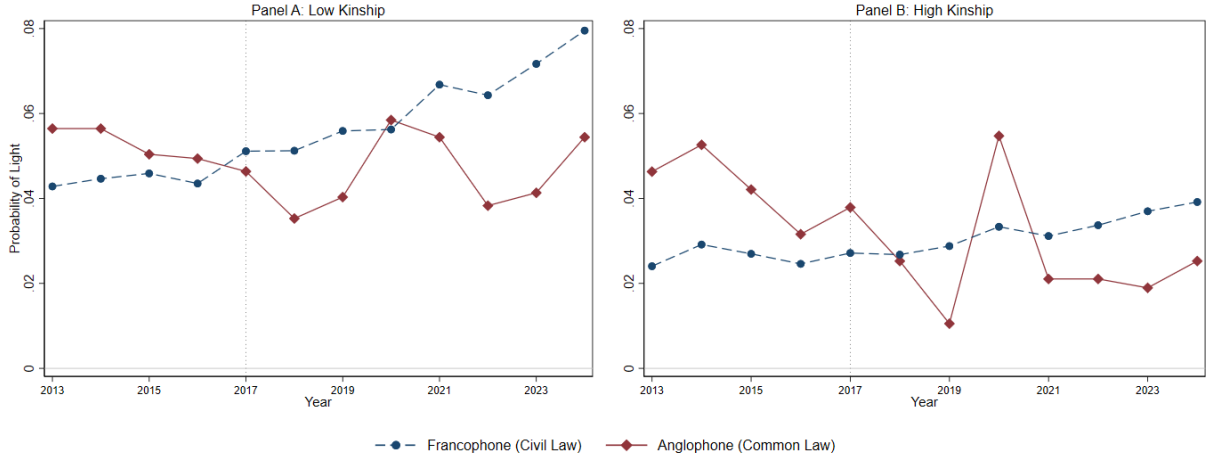


Figure 10: Trends in Economic Activity around the Anglophone Crisis by Kinship Intensity

Notes. The figure plots raw trends in the probability of detectable nighttime light at the grid cell level ($0.05^\circ \times 0.05^\circ$) in Cameroon (2013–2024). The sample is stratified by the median Kinship Intensity Index. Panel A displays trends for Low Kinship ethnic groups; Panel B displays trends for High Kinship ethnic groups. The red line represents the Anglophone (Common Law) region, and the blue line represents the Francophone (Civil Law) region. The vertical dashed line marks the onset of the judicial crisis in late 2016.

trends supports the identification assumption, confirming that high-kinship and low-kinship areas were on similar economic trajectories prior to the institutional shock.

Following the onset of the crisis ($T = 0$), the trajectories diverge sharply. In the Low Kinship sample (blue circles), economic activity remains resilient, with coefficients hovering near zero throughout the conflict period. In sharp contrast, the High Kinship sample (red diamonds) exhibits a statistically significant and persistent decline. This confirms that the aggregate drop in nightlights was not a gradual drift, but a structural break triggered specifically by the imposition of the Civil Law judiciary. Panel B reports the trajectory of violence against civilians; the overlapping confidence intervals in the early post-period suggest that the economic divergence in Panel A cannot be attributed solely to differential exposure to violence, but rather to the differential *response* of the social network to that environment.

Table 9 formalises the visual evidence using the Doubly Robust Inverse Probability Weighting (DR-IPW) estimator (Callaway and Sant’Anna, 2021). Columns 1-2 report the

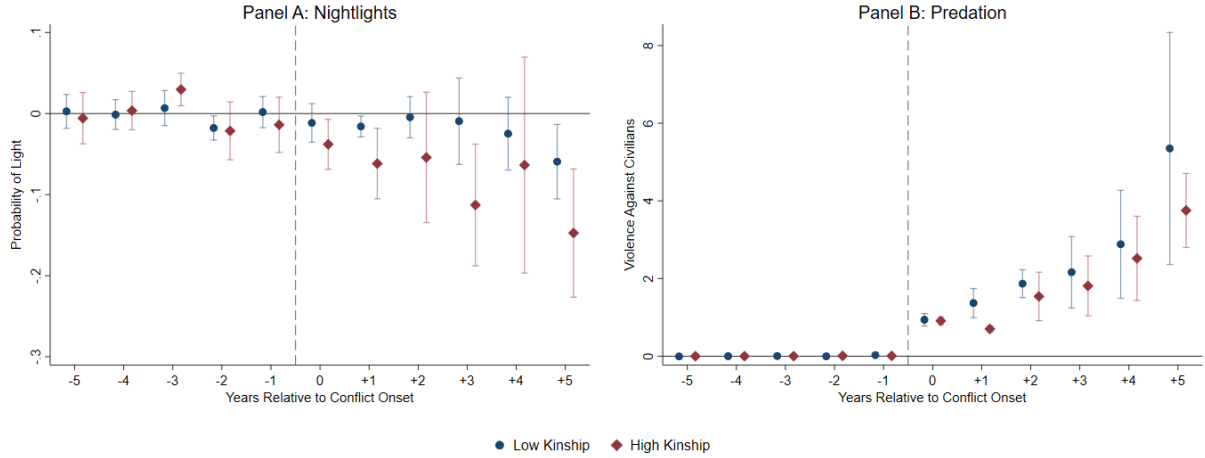


Figure 11: Dynamic Effect of the Anglophone Crisis on Economic Activity and Violence Against Civilians by Kinship Intensity

Notes. The figure reports dynamic Average Treatment Effects on the Treated (ATT), estimated using the doubly robust difference-in-differences estimator of [Callaway and Sant’Anna \(2021\)](#). The sample is stratified by the median Kinship Intensity Index (KII). Panel A reports estimates for the Probability of Nighttime Light (Extensive Margin). Panel B reports estimates for the number of events classified as Violence Against Civilians in the ACLED database. The x-axis represents years relative to the first recorded Anglophone conflict event ($T = 0$) in the grid cell. Blue circles represent estimates for the Low Kinship subsample; red diamonds represent estimates for the High Kinship subsample. Bars indicate 95% confidence intervals clustered at the department level.

aggregated Average Treatment Effect on the Treated (ATT) for the Anglophone Crisis. The results confirm that the economic collapse was not a uniform regional shock, but was concentrated in high-kinship communities. In Low Kinship areas (Column 1), the impact of the crisis is small ($\beta = -0.021$) and statistically indistinguishable from zero. In contrast, High Kinship areas (Column 2) experienced a massive contraction ($\beta = -0.080^{**}$).

To interpret the magnitude: the pre-treatment mean probability of light in high-kinship areas was 0.073. A coefficient of -0.080 implies that the Ghost Town strikes, when shops remained shuttered for weeks, effectively extinguished detectable market activity in these communities relative to the counterfactual. This near-total shutdown is consistent with qualitative accounts of the crisis, where local enforcement committees strictly prohibited all commerce to delegitimise the state. The result was a complete collapse of tax revenue from

\$800,000 annually to just \$1,000 in 2019.⁷

Table 9: Heterogeneous Impact of Conflict by Kinship Intensity

<i>Dependent Variable: Probability of Light</i>				
	Anglophone Crisis		Boko Haram	
	(1)	(2)	(3)	(4)
	Low Kinship	High Kinship	Low Kinship	High Kinship
Estimated Impact				
Post-Treatment ATT	-0.021 (0.014)	-0.080** (0.033)	0.018 (0.020)	0.043 (0.047)
Pre-Treatment Characteristics				
Pre-Trend	-0.002 (0.002)	-0.002 (0.003)	0.005 (0.016)	0.003 (0.002)
Pre-Treatment Mean	0.087	0.073	0.201	0.195
Observations	99,710	59,449	114,426	71,357
Clusters	48	30	45	26
Geographic Controls	✓	✓	✓	✓
Grid Cell FEs	✓	✓	✓	✓
Year FEs	✓	✓	✓	✓

Notes. The table reports dynamic event study coefficients estimated using the Doubly Robust Inverse Probability Weighting (DR-IPW) method (Callaway and Sant’Anna, 2021). The unit of observation is a $0.05^\circ \times 0.05^\circ$ grid cell. The dependent variable is the probability of nighttime light. Columns 1 and 2 report the impact of the Anglophone Crisis, aggregated over the post-conflict period ($t = 0$ to $t = 5$). Columns 3 and 4 report the impact of the Boko Haram Conflict, aggregated over the post-conflict period ($t = 0$ to $t = 5$). “Pre-Treatment Mean” reports the average outcome in the pre-conflict period ($t = -5$ to $t = -1$ for the Anglophone Crisis and $t = -2$ to $t = -1$ for the Boko Haram Conflict). Standard errors are clustered at the department level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

To further probe the mechanism, Table 10 disaggregates the impact by the urban-rural divide. The logic of the “Ghost Town” (a general strike aimed at paralysing the commercial economy) implies that the effect should be concentrated in urban centres where trade occurs, rather than in rural subsistence economies. The results strongly support this interpretation. The aggregate collapse in high-kinship areas is driven almost entirely by urban grid cells (Column 5), where the post-treatment average indicates a massive contraction ($\beta = -0.083^{**}$). By $t + 5$, the probability of light in these high-kinship cities has plummeted

⁷See *VOA News*, “Cameroon Says Conflict Destroying Anglophone Regions’ Economies,” September 2, 2020. www.voanews.com/cameroon-says-conflict-destroying-anglophone-regions-economies.

by 15.1 percentage points relative to the counterfactual. In contrast, high-kinship rural areas (Column 6) show a precise zero effect ($\beta = -0.001$). Comparing the urban samples reveals that social structure is the decisive factor: while low-kinship cities (Column 2) do experience a mild decline ($\beta = -0.027^*$), the collapse in high-kinship cities is roughly three times larger. The same pattern holds for the Triple-Difference (DDD) specification in Table C.5 of Appendix C.4. These findings confirms that the economic penalty is not merely a function of urban exposure to conflict, but specifically stems from the capacity of dense urban networks to enforce total non-cooperation.

Table 10: Dynamic Impact of Anglophone Crisis by Kinship and Urban-Rural Divide

<i>Dependent Variable: Probability of Light</i>						
Time Relative to Onset	Low Kinship			High Kinship		
	(1) Full	(2) Urban	(3) Rural	(4) Full	(5) Urban	(6) Rural
Pre-Treat Avg.	-0.002 (0.002)	-0.003 (0.003)	0.003** (0.001)	-0.002 (0.003)	-0.001 (0.004)	0.001 (0.001)
Post-Treat Avg.	-0.021 (0.014)	-0.027* (0.014)	0.033*** (0.001)	-0.080** (0.033)	-0.083** (0.035)	-0.001* (0.000)
$t - 5$	0.003	-0.002	0.076***	-0.006	-0.004	0.004
$t - 4$	-0.001	0.001	-0.063***	0.004	0.005	-0.001
$t - 3$	0.007	0.005	-0.001	0.030***	0.032***	-0.001
$t - 2$	-0.018**	-0.020**	-0.000	-0.021	-0.023	0.001
$t - 1$	0.002	0.000	0.001	-0.014	-0.015	0.001
$t = 0$ (Onset)	-0.012	-0.013	-0.000	-0.038**	-0.042**	-0.000
$t + 1$	-0.016**	-0.019***	-0.001	-0.062***	-0.068***	-0.001
$t + 2$	-0.005	-0.007	0.000	-0.054	-0.059	-0.000
$t + 3$	-0.009	-0.016	0.000	-0.113***	-0.116***	-0.001
$t + 4$	-0.025	-0.040*	0.199***	-0.064	-0.066	0.002
$t + 5$	-0.059**	-0.067***	-0.000	-0.147***	-0.151***	-0.002*
Full Controls	✓	✓	✓	✓	✓	✓

Notes. The table reports dynamic event study coefficients estimated using the Doubly Robust Inverse Probability Weighting (DR-IPW) method (Callaway and Sant’Anna, 2021) for the Anglophone Crisis. Columns 1 and 4 report estimates for the Full Sample (replicating the main results). Columns 2 and 5 restrict the sample to Urban grid cells (above-median population density). Columns 3 and 6 restrict the sample to Rural grid cells (below-median population density). The dependent variable is the probability of nighttime light. The anomalous spike in rural low-kinship activity at $t + 4$ ($\beta = 0.199$) likely reflects measurement artifacts common to VIIRS data in unlit areas, such as gas flaring or forest fires, rather than genuine economic expansion. Standard errors are clustered at the department level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Placebo: Boko Haram. To validate that the estimated effect is driven by legal incompatibility rather than a general propensity for high-kinship groups to disengage during conflict, I conduct a placebo test using the Boko Haram insurgency in Northern Cameroon. This region is strictly governed by Civil Law and faces a religious insurgency rather than institutional mismatch. If high kinship universally exacerbates the economic costs of war, we should observe a similar penalty in the North. However, if the effect is specific to the Common Law vs. Civil Law mismatch, the interaction term in the North should be null.

Columns (3) and (4) of Table 9 report the results of the same dynamic event study applied to the Boko Haram insurgency. In the absence of an institutional grievance, high kinship does not lead to economic collapse; if anything, the positive sign suggests a solidarity effect where kin networks provide safety nets during standard warfare. This falsification indicates that kinship is not inherently detrimental to development during crises. It only becomes a liability when the state attempts to impose incompatible institutions, triggering a defensive mobilisation that destroys the formal economy.

6.4 Solidarity or Coercion

The aggregate collapse documented in Table 9 could theoretically arise from two sources: (i) strategic Ghost Town strikes enforced by local networks, or (ii) collateral damage from military clashes being concentrated in high-kinship areas. To distinguish between these channels, Table 11 disentangles the effect by the *type* of violence. I restrict the sample to the Anglophone conflict zone and estimate a triple-difference specification interacting the post-period dummy with kinship intensity and specific conflict indicators from ACLED.

Column (1) focuses on *Violence Against Civilians*, which proxies for the enforcement of strikes (e.g., militias targeting shopkeepers who refuse to close). The triple interaction is large, negative, and highly significant ($\beta = -0.599^{***}$). This implies that when coercive force is applied in high-kinship networks, economic activity is effectively extinguished.

In contrast, Column 2 uses *Battles and Explosions* to proxy for kinetic warfare. Here, the

Table 11: Heterogeneous Impact of Conflict by Kinship Intensity and Conflict Type

<i>Dependent Variable: Probability of Light</i>				
	Anglophone Crisis		Boko Haram	
	(1)	(2)	(3)	(4)
	Enforcement	War	Enforcement	War
	(Predation)	(Battles)	(Predation)	(Battles)
Triple-Differences Estimates				
Post $\times$ High Kinship (<i>Solidarity/Peaceful</i>)	−0.008 (0.009)	−0.007 (0.008)	−0.012 (0.014)	−0.012 (0.014)
Post $\times$ Violence (<i>Direct Effect</i>)	−0.020** (0.009)	−0.016 (0.010)	−0.092 (0.089)	−0.063 (0.138)
Post $\times$ High Kinship $\times$ Violence (<i>Network Multiplier</i>)	−0.599*** (0.011)	−0.001 (0.015)	0.102 (0.076)	0.075 (0.122)
Implied Mechanism	Enforcement	None	None	None
Observations	19,071	19,071	45,695	45,695
Clusters	13	13	10	10
Grid Cell FEs	✓	✓	✓	✓
Year FEs	✓	✓	✓	✓

Notes. The table reports estimates from triple-difference specifications disentangling the mechanism of economic collapse. Columns 1-2 restrict the sample to the Anglophone conflict zone; Columns 3-4 restrict to the Boko Haram conflict zone (Placebo). *Enforcement* defines violence as Violence Against Civilians; *War* defines violence as Battles and Explosions. *Post $\times$ High Kinship* captures the effect in peaceful cells (solidarity). *Post $\times$ Violence* captures the effect of violence in low-kinship cells. The triple interaction captures the amplification effect of kinship networks when violence is present. Standard errors are clustered at the department level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

triple interaction is a precise zero ($\beta = -0.001$). This null result is insightful: it rules out the alternative explanation that high-kinship areas simply suffered more physical destruction from military combat. The economic collapse is not a byproduct of kinetic warfare; it is the result of a targeted, strategic withdrawal of commerce enforced through the social network.

Placebo: Boko Haram. Is this resistance multiplier a universal feature of African conflict? It is possible that high-kinship groups simply retreat more readily during any period of instability. To test this, Columns (3) and (4) of Table 11 repeat the specific mechanism analysis for the Boko Haram insurgency in Northern Cameroon. This conflict is driven by

religious extremism within a Civil Law framework.

The results are a mirror image of the Anglophone crisis. As shown in Columns 1 and 2, the triple interaction terms are positive and statistically insignificant. Whether looking at predation or battles, high kinship does not amplify the economic cost of violence in the North. If anything, the positive coefficients again suggest a solidarity effect, where kin networks provide resilience during standard warfare.

7 Conclusion

This paper establishes that the kinship penalty often observed in development is not an immutable cultural feature, but an endogenous outcome of institutional mismatch. The collision between rigid Civil Law codes and the reputation-based moral economy of the clan generates a crisis of representation, driving citizens to strategically withdraw from the formal sphere. This finding nuances the view that traditional social structures are inherently antithetical to modern state-building; rather, they become liabilities only when the state attempts to displace them with incompatible formal rules. The collapse of economic activity during the Anglophone Crisis underscores that this friction is not merely a transaction cost, but an existential conflict over legitimacy.

These results suggest that the path to state capacity in high-kinship societies lies not in suppressing traditional networks, but in co-opting them. While the Civil Law approach of imposing a uniform, top-down code risks alienating the population, the relative success of Common Law highlights the value of mechanisms that allow the lineage to function as a complement to, rather than a competitor of, the state. Successful models, such as the integration of the *Kgotla* system in Botswana, demonstrate that hybrid institutions can effectively bridge the gap between the village and the state. Ultimately, institutions endure only when they reflect, rather than reject, the moral psychology of the people they govern.

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A A Simple Model of Institutional Mismatch, Strategic Exit, and State Capacity

This appendix formalises the conceptual framework outlined in the main text. We develop a unified framework linking legal origins, kinship norms, state capacity, and ‘strategic exit’ to derive the paper’s testable predictions. We proceed in two parts:

1. **Micro-foundations (Section A.1):** We adapt the property rights framework of Grossman and Hart (1986) and Hart and Moore (1990) to show how legal rigidity leads to the expropriation of lineage assets, creating a ‘Mismatch Cost.’
2. **General Equilibrium (Sections A.2–A.5):** Following the tax evasion literature (Allingham and Sandmo, 1972), we embed this cost into a model of endogenous state capacity to derive a fiscal feedback loop and validate the ‘Ghost Town’ mechanism.

A.1 Institutional Mismatch: Control Rights under Contractual Incompleteness

A.1.1 The Setup

Consider a developing economy with a continuum of risk-neutral Agents (entrepreneurs), indexed by their kinship intensity $k \in [0, 1]$.

The Transaction. An Agent (A) wishes to commercialize an ancestral asset (e.g., land) to undertake a productive project. This requires forming a formal contract with an outside Investor (I)—representing the formal market or the state.

- **Investment:** The Investor contributes capital i .
- **Surplus:** The project generates a verifiable monetary surplus $V(i)$.
- **The Conflict:** The asset is held in trust for the Agent’s lineage (Kinship Group).

Contractual Incompleteness. The contract is incomplete. The parties cannot explicitly contract on the “customary validity” of the land transfer or specify every future contingency regarding the lineage’s needs. If a dispute arises (e.g., a liquidity shock or inheritance dispute), the decision rights over the asset revert to the Court (The State).

A.1.2 The Ex-Post Decision and Payoffs

In the event of a dispute, the Court must make a binary allocation decision $d \in \{L, P\}$.

Liquidation ($d = L$). The Court treats the asset as alienable individual property and orders its sale or partition to satisfy the Investor (e.g., strictly applying Article 815 of the Napoleonic Code).

- **Payoff to Investor:** V_H (High market recovery).
- **Payoff to Agent:** The Agent suffers a “Mismatch Cost” or “Identity Externality” denoted by $\mu(k)$. Since liquidation violates the moral economy of the lineage, the Agent faces social sanctions (ostracization). We model this cost as increasing in kinship intensity:

$$\mu(k) = \gamma k, \quad \text{where } \gamma > 0. \quad (\text{A.1})$$

Preservation ($d = P$). The Court recognizes the customary title (usufruct rights) and blocks liquidation, preserving the asset for the lineage (e.g., applying the *Amodu Tijani* precedent).

- **Payoff to Investor:** V_L (Low market recovery, where $V_L < V_H$).
- **Payoff to Agent:** 0 (No social sanction).

Efficiency Condition. Let social efficiency be defined by the aggregate surplus.

- Liquidation is efficient if $V_H - \gamma k > V_L$ (assuming the identity cost γk represents a real destruction of social capital/welfare as in (Akerlof and Kranton, 2000)).
- Preservation is efficient if $V_H - \gamma k < V_L$.

For high-kinship agents (high k), **Preservation** is the efficient outcome because the social cost of destroying the lineage’s asset outweighs the marginal market gain.

A.1.3 Legal Regimes as Information Technologies

We model the Legal Origin (O) as the technology the Court uses to verify the state of the world and allocate control rights.

Civil Law ($O = C$). The Civil Law court operates under “Formal Rationality.” It relies on bright-line rules (the Code) and treats the “opaque” kinship network as legally illegible.

- **Assumption:** The Civil Law court cannot (or will not) verify k . It strictly enforces formal title.
- **Decision Rule:** The Court always chooses Liquidation ($d = L$) to maximize formal certainty and market alienability.
- **Outcome:** This creates a Mismatch for high-kinship agents. The court enforces a contract that destroys social value ($-\gamma k$).

Common Law ($O = K$). The Common Law court possesses “Institutional Porosity” via mechanisms like Repugnancy Clauses. It can admit customary evidence to distinguish precedents.

- **Assumption:** The Common Law court observes a noisy signal of kinship intensity $\hat{k}$.
- **Decision Rule:** The Court applies an adaptable rule:

$$d(k) = \begin{cases} L & \text{if } \hat{k} < k^* \text{ (Low Kinship)} \\ P & \text{if } \hat{k} \geq k^* \text{ (High Kinship)} \end{cases} \quad (\text{A.2})$$

- **Outcome:** The Court effectively “completes” the contract by incorporating the informal norm. It prevents liquidation when social costs are high.

A.1.4 The Participation Constraint (Strategic Exit)

The Agent anticipates the Court's ruling ex-ante. The Agent will only enter the formal contract (Participate) if the expected utility of the formal deal exceeds their outside option (the Informal Sector/Autarky). Let $U_{\text{Formal}}^O(k)$ be the Agent's utility under legal regime O . Let $\bar{U}_{\text{Informal}}(k) = \beta k$ be the utility in the informal sector, where the clan provides insurance and protection.

Case 1: Under Civil Law (C) The Agent anticipates that if a dispute arises, the Court will force Liquidation (L).

$$U_{\text{Formal}}^C(k) = \alpha V_H - \gamma k \quad (\text{A.3})$$

(Where α is the Agent's share of the surplus). The Agent participates if and only if:

$$\begin{aligned} \alpha V_H - \gamma k &\geq \beta k \\ \alpha V_H &\geq (\beta + \gamma)k \end{aligned}$$

This defines a Civil Law Participation Threshold $\bar{k}_C$:

$$k \leq \frac{\alpha V_H}{\beta + \gamma} \equiv \bar{k}_C \quad (\text{A.4})$$

Case 2: Under Common Law (K) For high-kinship agents ($k > k^*$), the Agent anticipates the Court will rule for Preservation (P).

$$U_{\text{Formal}}^K(k) = \alpha V_L - 0 \quad (\text{A.5})$$

(Note: No mismatch cost γk is incurred). The Agent participates if and only if:

$$\alpha V_L \geq \beta k$$

This defines a Common Law Participation Threshold $\bar{k}_K$:

$$k \leq \frac{\alpha V_L}{\beta} \equiv \bar{k}_K \quad (\text{A.6})$$

A.1.5 The Mismatch Penalty

Proposition A.1. *If the identity cost of liquidation is sufficiently high ($\gamma \gg 0$), the formal sector is smaller under Civil Law than under Common Law for high-kinship societies.*

Proof. We compare the thresholds $\bar{k}_C$ and $\bar{k}_K$. Strategic Exit is more severe under Civil Law if $\bar{k}_C < \bar{k}_K$.

$$\frac{\alpha V_H}{\beta + \gamma} < \frac{\alpha V_L}{\beta}$$

Rearranging terms:

$$\beta(V_H - V_L) < \gamma V_L \quad (\text{A.7})$$

Interpretation: The LHS represents the “Market Premium” of Civil Law (the efficiency gain from strict liquidation $V_H - V_L$). The RHS represents the “Mismatch Penalty” (the social cost γ). If the kinship network is tight (high γ), the social cost of the Civil Law’s rigidity overwhelms its market efficiency advantages.

Result: Agents with $k \in (\bar{k}_C, \bar{k}_K]$ will Exit the formal sector under Civil Law but would remain integrated under Common Law. This formalizes the empirical finding that “historical kinship intensity impedes development only under Civil Law.” ■

A.1.6 Implications for State Legitimacy

In this framework, legitimacy is defined as the alignment between the Court’s default allocation of control rights and the Agent’s moral economy. Under Civil Law, the state is viewed as a predator. By enforcing $d = L$, the state actively destroys the Agent’s social capital, rendering the state illegitimate ($U_{\text{Formal}} < U_{\text{Informal}}$). This triggers the strategic withdrawal

observed in the Anglophone Crisis. Under Common Law, the state is viewed as a complement. By enforcing $d = P$ for high-kinship agents, the state validates the moral economy, preserving the Agent’s identity while still enabling limited formal interaction.

Result: State capacity is endogenous to this mismatch. The ‘Kinship Penalty’ is not a cultural constant, but an institutional failure to allocate property rights in a way that respects the underlying social constraints.

A.2 General Equilibrium: Strategic Exit and Fiscal Feedback

Having established the micro-foundation of the mismatch cost, we now aggregate this behaviour into a general equilibrium framework to define the aggregate ‘Kinship Penalty’ and endogenize state capacity.

A.2.1 The Macro-Environment

Consider a continuum of risk-neutral agents (households) indexed by their kinship intensity k , distributed according to a cumulative distribution function $H(k)$. For tractability, we assume a uniform distribution $k \sim U[0, 1]$. To map the micro-foundation to the macro-model, we define the agent’s endowment y as the agent’s expected market return in the formal sector (corresponding to αV_H in Section A.1). Each agent possesses endowment y and chooses between operating in the **Formal Sector** (F) or the **Informal Sector** (I).

The Formal Sector (The State). Participation in the formal sector grants access to public goods G and formal legal enforcement. However, agents must pay a statutory tax rate $\tau \in (0, 1)$ and face the mismatch cost $\mu(k, O)$, dependent on the legal regime O . The utility of an agent in the formal sector is given by:

$$U_F(k, O) = (1 - \tau)y + G - \mu(k, O) \tag{A.8}$$

The Informal Sector (The Clan). Agents in the informal sector evade taxes but lose access to public goods G and formal contract enforcement, incurring a productivity loss $\phi \in (0, 1)$. Instead of state enforcement, they rely on the lineage for protection and dispute resolution. The efficacy of this informal enforcement depends on the tightness of the social network, denoted by the kinship benefit $\beta(k)$. The utility of an agent in the informal sector is given by:

$$U_I(k) = (1 - \phi)y + \beta(k) \quad (\text{A.9})$$

A.2.2 Parametric Assumptions

1. **Formal Efficiency Condition:** We assume $\phi > \tau$. This implies that $(1 - \tau)y > (1 - \phi)y$. In the absence of mismatch costs ($k = 0$), the formal sector is strictly preferred. Thus, exit is driven by institutional friction and kinship dynamics, not purely by tax avoidance.
2. **Linear Functional Forms:** For analytical clarity, we define the benefit and cost functions as linear in kinship intensity:
 - **Kinship Benefit:** $\beta(k) = \beta k$, where $\beta > 0$.
 - **Mismatch Cost:** $\mu(k, O) = \theta_O k$. Consistent with the micro-foundations, we assume Civil Law imposes a strictly higher mismatch penalty than Common Law ($\theta_C \gg \theta_K \geq 0$).

A.2.3 The Exit Threshold

An agent chooses to **Exit** the formal sector if $U_I(k) > U_F(k, O)$. The indifference condition defines a unique threshold kinship intensity k^* such that:

$$(1 - \phi)y + \beta k^* = (1 - \tau)y + G - \theta_O k^* \quad (\text{A.10})$$

Rearranging terms, the agent exits if the total return to kinship (internal benefits + avoided mismatch costs) exceeds the net premium of the state:

$$\underbrace{(\beta + \theta_O)k^*}_{\text{Incentive to Exit}} = \underbrace{G - (\tau - \phi)y}_{\text{State Premium}}$$

Solving for the threshold k^* :

$$k^* = \frac{G + (\phi - \tau)y}{\beta + \theta_O} \quad (\text{A.11})$$

Since the incentive to exit is strictly increasing in k , all agents with $k > k^*$ strategically withdraw to the informal sector.

A.2.4 The Fiscal Feedback Loop

In the partial equilibrium case above, public goods G were exogenous. We now endogenise state capacity. We assume a balanced budget where public goods provision equals total tax revenue. Given the uniform distribution on $[0, 1]$, the mass of the formal sector is simply k^* .

$$G(k^*) = \tau \cdot y \cdot H(k^*) = \tau y k^* \quad (\text{A.12})$$

Substituting (A.12) into the indifference condition (A.10) introduces a feedback loop: the decision to exit reduces the tax base, which reduces G , which prompts further exit.

$$(1 - \phi)y + \beta k^* = (1 - \tau)y + \tau y k^* - \theta_O k^*$$

Solving for the equilibrium threshold k^* under endogenous state capacity:

$$k^* = \frac{(\phi - \tau)y}{\beta + \theta_O - \tau y} \quad (\text{A.13})$$

Assumption 1 (Stability Condition). *For a stable interior solution $k^* \in (0, 1)$, we assume:*

$$\beta + \theta_O > \tau y \quad (\text{A.14})$$

Derivation. This condition ensures that the net social pull of the informal sector grows faster with k than the fiscal return. Let $\Delta U(k) = U_F(k) - U_I(k)$. An equilibrium occurs where $\Delta U(k^*) = 0$. Differentiating the utility differential:

$$\frac{\partial \Delta U}{\partial k} = \tau y - (\theta_O + \beta)$$

For stability (i.e., for the system to return to equilibrium after a perturbation), the curve must cross from above, requiring a negative slope: $\tau y - (\theta_O + \beta) < 0$. $\square$

A.2.5 Extension: The Leviathan State (Endogenous Taxation)

We extend the model to allow the state to set the tax rate strategically to maximize revenue. The state acts as a Leviathan, solving:

$$\max_{\tau} \quad R(\tau) = \tau y \cdot k^*(\tau) = \tau y \left[\frac{(\phi - \tau)y}{\beta + \theta_O - \tau y} \right] \quad (\text{A.15})$$

Let $S = \beta + \theta_O$ denote the total social barrier to formalisation. Solving the first-order condition $\frac{\partial R}{\partial \tau} = 0$ yields the revenue-maximizing tax rate:

$$\tau^* = \frac{S - \sqrt{S(S - \phi y)}}{y} \quad (\text{A.16})$$

The Institutional Laffer Curve. The optimal tax rate τ^* and maximum revenue $R(\tau^*)$ are endogenous to the legal mismatch θ_O . As mismatch increases ($S \uparrow$), the elasticity of the tax base with respect to taxation increases. This shifts the Laffer curve inward, forcing the state to accept a strictly lower maximum revenue capacity regardless of its fiscal policy. This confirms that state capacity is structurally constrained by institutional mismatch (θ_O), not

merely by administrative investment or poor policy choices (τ).

A.3 Theoretical Propositions (General Equilibrium)

Proposition A.2 (The Mismatch Penalty). *The aggregate size of the formal sector k^* is strictly decreasing in the legal mismatch parameter θ_O .*

Proof. Differentiating Equation (A.13) with respect to θ_O :

$$\frac{\partial k^*}{\partial \theta_O} = -\frac{k^*}{\beta + \theta_O - \tau y} < 0$$

Since the denominator is positive (by the stability condition derived above), the derivative is negative. Given that Civil Law is characterized by higher mismatch ($\theta_C > \theta_K$), it follows that $k_C^* < k_K^*$. Thus, high-kinship societies under Civil Law exhibit significantly lower formal economic activity than identical societies under Common Law. ■

Proposition A.3 (The Fiscal Multiplier). *The negative impact of institutional mismatch is amplified by the fiscal feedback loop. The decline in the formal base is strictly larger when public goods are endogenous.*

Proof. See the full derivation in Section A.5. ■

Proposition A.4 (The Legitimacy Gap). *Trust in state institutions, defined as the net utility premium $T(k) = U_F - U_I$, is strictly decreasing in mismatch θ_O .*

Proof.

$$T(k, O) = \underbrace{[G - (\tau - \phi)y]}_{\text{Base Premium}} - \underbrace{(\beta + \theta_O)k}_{\text{Kinship/Mismatch Penalty}}$$

Differentiating with respect to θ_O yields $\frac{\partial T}{\partial \theta_O} = -k < 0$. Under Civil Law, the penalty for interacting with the state rises strictly with kinship. ■

Proposition A.5 (The Capacity Trap). *Total equilibrium state revenue R^* is strictly decreasing in mismatch cost θ_O . If the state faces a fixed operation cost F , high mismatch can render the state unviable.*

Proof. See Section A.5. ■

Corollary A.1 (The Interaction Effect). *The marginal impact of kinship intensity on formal sector activity is strictly more negative under Civil Law than under Common Law.*

Proof. See Section A.5. ■

A.4 Applications: Conflict and Governance

A.4.1 Application A: The Anglophone Crisis (Dynamics of Proposition A.2)

We apply the static result of Proposition A.2 to a dynamic setting to explain the 2016 Anglophone Crisis. We model the crisis as a structural break in the mismatch parameter θ_O that tips the system from a cooperative equilibrium to a “Ghost Town” equilibrium.

The Structural Break. Prior to 2016 ($t = 0$), the region operated under Common Law ($\theta_K \approx 0$). The equilibrium formal sector size k^* was high, consistent with the high nightlight density observed in data. In late 2016 ($t = 1$), the imposition of Civil Law judges created a discrete jump in mismatch ($\theta_C \gg \theta_K$).

The Ghost Town Mechanism. Sustaining a coordinated shutdown requires solving a collective action problem. We extend the stability condition (Assumption 1) to include a **social enforcement parameter** σ , representing the network’s capacity to sanction defectors. While β captures the passive insurance value of the clan, σ represents the active capacity to sanction defectors during conflict. High β facilitates high σ , but the latter is an endogenous response to the threat. The critical threshold becomes:

$$k_{\text{strike}} = \frac{G + (\phi - \tau)y}{\beta + \theta_O + \sigma} \quad (\text{A.17})$$

The crisis occurs when the combined shock ($\uparrow \theta_O$) and social reaction ($\uparrow \sigma$) violate the stability condition, making exit the absorbing equilibrium.

Predictions. The interaction of the shock and social structure generates three distinct dynamics:

The Tipping Point (Time Variation): The shock increases the denominator, driving k_{strike} down. Communities with $k > k_{\text{strike}}$ are tipped into the strike.

Network-Dependent Collapse (Cross-Sectional Variation): In low-kinship societies (low β, σ), the denominator remains small. The shock to θ_O alone is insufficient to trigger mass exit, explaining the variation in strike intensity across districts.

Hysteresis: Once the equilibrium is established, the activation of σ creates a lock-in effect. Even if the state partially reverses θ_O , the strike persists due to high social enforcement.

A.4.2 Application B: Indirect Rule (Mitigating Proposition A.4)

Proposition A.4 established that mismatch erodes state legitimacy. Here, we model how different legal origins attempt to mitigate this “Legitimacy Gap” via **Indirect Rule**. We introduce a parameter $\lambda \in [0, 1]$ representing *local autonomy* (e.g., customary courts).

The Integration Mechanism. Autonomy lowers the effective mismatch cost. The agent’s utility becomes:

$$U_{\text{Voice}} = (1 - \tau)y + G - (1 - \lambda)\theta_O k \quad (\text{A.18})$$

The state minimizes the Legitimacy Gap by maximizing λ subject to institutional constraints.

The Institutional Constraint. Legal origins differ in their **feasible set** of autonomy, generating two distinct equilibria:

- **Common Law (Porous):** The state can credibly offer high autonomy ($\lambda^* \rightarrow 1$).

This neutralizes the mismatch cost, allowing high-kinship groups to remain formal.

- **Civil Law (Rigid):** The unitary nature of the Code imposes a binding constraint $\lambda \approx 0$. The state cannot offer the autonomy required to satisfy high-kinship groups.

Equilibrium Implications.

The Legitimacy Premium: Under Common Law, the state “purchases” compliance by granting autonomy. Consequently, high-kinship groups report higher trust in both traditional leaders ($\lambda > 0$) and the state (as the provider of G).

The Representation Gap: Under Civil Law, the constraint $\lambda \approx 0$ forces the state to reject local intermediaries. High-kinship groups, facing unmitigated mismatch costs, opt for strategic exit. This explains the collapse of trust in traditional leaders and local councillors observed in Table 8.

A.5 Mathematical Appendix: Detailed Proofs

A.5.1 Proof of Proposition A.3 (The Fiscal Multiplier)

We formally define the fiscal multiplier by comparing the sensitivity of the formal sector size k^* to a shock in mismatch costs θ_O under two regimes: exogenous public goods (Partial Equilibrium) and endogenous public goods (General Equilibrium).

The Partial Equilibrium Effect (No Feedback). Let k_{PE}^* denote the threshold when public goods G are fixed (exogenous). From Equation (A.11):

$$k_{PE}^* = \frac{G + (\phi - \tau)y}{\beta + \theta_O} \quad (\text{A.19})$$

The response to a change in mismatch is:

$$\frac{\partial k_{PE}^*}{\partial \theta_O} = -\frac{k_{PE}^*}{\beta + \theta_O} \quad (\text{A.20})$$

The General Equilibrium Effect (With Feedback). Let k_{GE}^* denote the threshold when public goods depend on the tax base ($G = \tau y k^*$). From Equation (A.13):

$$k_{GE}^* = \frac{(\phi - \tau)y}{\beta + \theta_O - \tau y} \quad (\text{A.21})$$

The response to a change in mismatch is:

$$\frac{\partial k_{GE}^*}{\partial \theta_O} = -\frac{k_{GE}^*}{\beta + \theta_O - \tau y} \quad (\text{A.22})$$

Deriving the Multiplier. Assume the system starts at the same initial equilibrium point such that $k_{PE}^* = k_{GE}^* = k^*$. We form the ratio of the General Equilibrium effect to the Partial Equilibrium effect:

$$\begin{aligned} M &= \frac{\partial k_{GE}^* / \partial \theta_O}{\partial k_{PE}^* / \partial \theta_O} \\ &= \left(\frac{-k^*}{\beta + \theta_O - \tau y} \right) \bigg/ \left(\frac{-k^*}{\beta + \theta_O} \right) \\ &= \frac{\beta + \theta_O}{\beta + \theta_O - \tau y} \end{aligned}$$

Dividing numerator and denominator by $(\beta + \theta_O)$:

$$M = \frac{1}{1 - \frac{\tau y}{\beta + \theta_O}} \quad (\text{A.23})$$

Since tax revenue τy and social friction $\beta + \theta_O$ are positive, and assuming the stability condition holds ($\beta + \theta_O > \tau y$), the term $\frac{\tau y}{\beta + \theta_O} \in (0, 1)$. Thus, $M > 1$.

Conclusion. The impact of a mismatch shock is magnified by the factor M . The state contraction is not just additive but multiplicative, driven by the revenue loss feedback. ■

A.5.2 Proof of Proposition A.5 (The Capacity Trap)

We aim to prove two statements:

1. **Revenue Decay:** The maximised state revenue R^* is strictly decreasing in the mismatch cost θ_O .
2. **The Viability Threshold:** For any positive fixed cost of state operation $F > 0$, there exists a critical level of mismatch $\bar{\theta}$ such that if $\theta_O > \bar{\theta}$, the state collapses ($G = 0$).

Part 1: The Effect of Mismatch on Revenue. Let $R(\tau, \theta_O)$ be the revenue function for a given tax rate τ and legal mismatch θ_O . Substituting the equilibrium formal sector size k^* from Equation (A.13) into the revenue definition $R = \tau y k^*$:

$$R(\tau, \theta_O) = \frac{\tau y^2 (\phi - \tau)}{\beta + \theta_O - \tau y} \quad (\text{A.24})$$

Let τ^* be the optimal tax rate derived in the FOC analysis (Eq. A.16). The maximised revenue is given by the value function $R^*(\theta_O) \equiv R(\tau^*(\theta_O), \theta_O)$. We wish to determine the sign of $\frac{dR^*}{d\theta_O}$. By the Envelope Theorem, the total derivative of the value function with respect to the parameter θ_O is equal to the partial derivative of the objective function evaluated at the optimum:

$$\frac{dR^*}{d\theta_O} = \underbrace{\frac{\partial R}{\partial \tau} \Big|_{\tau^*}}_{=0 \text{ by FOC}} \cdot \frac{\partial \tau^*}{\partial \theta_O} + \frac{\partial R}{\partial \theta_O} \Big|_{\tau^*} \quad (\text{A.25})$$

Thus, we only need to sign the partial derivative $\frac{\partial R}{\partial \theta_O}$. Differentiating the revenue function with respect to θ_O (treating τ as constant):

$$\begin{aligned} \frac{\partial R}{\partial \theta_O} &= \tau y^2 (\phi - \tau) \cdot \frac{\partial}{\partial \theta_O} ((\beta + \theta_O - \tau y)^{-1}) \\ &= \tau y^2 (\phi - \tau) \cdot \left(-\frac{1}{(\beta + \theta_O - \tau y)^2} \right) \\ &= -\frac{\tau y^2 (\phi - \tau)}{(\beta + \theta_O - \tau y)^2} \end{aligned}$$

Since the formal sector is efficient ($\phi > \tau$) and taxes are positive ($\tau > 0$), the numerator is strictly positive. The denominator is a squared term and thus positive. Therefore:

$$\frac{dR^*}{d\theta_O} < 0 \quad (\text{A.26})$$

Result: Maximised state revenue is strictly decreasing in the mismatch cost θ_O .

Part 2: The Capacity Trap Condition. Assume the state requires a fixed operation cost F (e.g., judicial salaries, infrastructure) to exist. The state is viable if and only if $R^*(\theta_O) \geq F$. From Part 1, $R^*(\theta_O)$ is a continuous, strictly decreasing function of θ_O . We analyze the limits:

- As $\theta_O \rightarrow 0$ (perfect institutional alignment), R^* is at its maximum. Assume $R^*(0) > F$.
- As $\theta_O \rightarrow \infty$ (extreme mismatch), the denominator in (A.24) approaches infinity, driving revenue to zero: $\lim_{\theta_O \rightarrow \infty} R^*(\theta_O) = 0$.

By the Intermediate Value Theorem, there must exist a unique critical threshold $\bar{\theta}$ such that $R^*(\bar{\theta}) = F$. This defines the Capacity Trap:

- If $\theta_O \leq \bar{\theta}$ (Common Law), the state is viable ($G > 0$).
- If $\theta_O > \bar{\theta}$ (Civil Law), the state cannot cover fixed costs ($R^* < F$), leading to a complete collapse of formal institutions ($G \rightarrow 0$).

■

A.5.3 Proof of Corollary A.1 (The Interaction Effect)

The empirical regression specification measures the marginal impact of kinship intensity k on local development y_{ic} , and how this impact varies by legal origin:

$$y_{ic} = \alpha + \beta_1 \text{Kinship}_i + \beta_2 (\text{Kinship}_i \times \text{CommonLaw}_c) + \varepsilon_{ic}$$

To map the model to this specification, we analyze the **Net Utility Premium** of formal sector participation, defined as $\Delta U(k) = U_F(k) - U_I(k)$. Agents with $\Delta U(k) > 0$ participate in the formal sector. Substituting the equilibrium budget constraint ($G = \tau y k^*$):

$$\Delta U(k) = \text{Constant} - (\beta + \theta_O - \tau y)k \quad (\text{A.27})$$

The coefficient on kinship (β_1) is determined by the slope of this utility function with respect to k :

$$\frac{\partial \Delta U}{\partial k} = -(\beta + \theta_O - \tau y)$$

We analyze how this slope changes with the legal mismatch parameter θ_O :

$$\frac{\partial}{\partial \theta_O} \left(\frac{\partial \Delta U}{\partial k} \right) = -1$$

Interpretation:

- Under **Civil Law**, θ_O is high ($\theta_C \gg 0$). The slope is strongly negative ($\beta_1 \ll 0$). Kinship strongly reduces the probability of formal participation.
- Under **Common Law**, θ_O is low ($\theta_K \approx 0$). The slope is less negative (closer to zero).

The interaction effect is the difference in slopes:

$$\text{Slope}_{Common} - \text{Slope}_{Civil} \propto -(\theta_K) - (-\theta_C) = \theta_C - \theta_K > 0$$

This theoretical result ($\Delta \text{Slope} > 0$) perfectly matches the positive interaction coefficient ($\beta_2 > 0$) observed in the data. ■

B Data Construction

B.1 Variable Definitions and Data Sources

Table B.1: Variable Definitions and Data Sources

Variable	Description	Source
<i>Panel A: Economic Outcomes</i>		
Log Nighttime Luminescence	Natural logarithm of average visible light density in the grid cell, calculated as $\ln(\text{light} + 0.00001)$ (Intensive Margin).	Elvidge et al. (2021)
Probability of Light	Binary indicator equal to 1 if the grid cell emits any detectable nighttime light (Extensive Margin).	Elvidge et al. (2021)
<i>Panel B: Institutional and Cultural Variables</i>		
Kinship Intensity Index (KII)	Standardised first principal component of five traits: cousin marriage, polygamy, extended family co-residence, lineage organisation, and community segmentation.	Murdock (1967) ; Schulz (2022)
Legal Origin	Indicator for whether the country's legal system is based on Common Law or Civil Law.	La Porta et al. (1999)

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Table B.1 – continued from previous page

Variable		Description	Source
Jurisdictional chy	Hierar-	Measure of pre-colonial political centralisation (levels of jurisdictional hierarchy beyond the local community), ranging from 0 to 4.	Murdock (1967)
<i>Panel C: Survey Mechanisms (Afrobarometer)</i>			
State Trust Index		Standardised average of trust in 10 formal in- stitutions (see Appendix B.3.).	Afrobarometer (2024)
Political Index	Participation	Composite index of civic engagement: attend- ing community meetings, joining issues, and attending demonstrations.	Afrobarometer (2024)
Trust in Leaders	Traditional	Respondent’s reported trust in traditional chiefs/leaders (Standardised).	Afrobarometer (2024)
Relative Trust		Difference between standardised Trust in Courts and standardised Trust in Traditional Leaders.	Afrobarometer (2024)
<i>Panel D: Conflict (Cameroon)</i>			
Anglophone Events	Crisis	Conflict events involving separatist actors in Anglophone regions (see Appendix B.2.).	ACLED (2024)
Boko Haram Events		Conflict events involving Islamist insurgents in the Far North region (see Appendix B.2.).	ACLED (2024)
			Continued on next page

Table B.1 – continued from previous page

Variable	Description	Source
Violence Against Civilians	Subset of conflict events classified as direct violence against non-combatants (used as proxy for strike enforcement).	ACLED (2024)
War	Subset of conflict events classified as battles and as explosions (used as proxy for collateral damage).	ACLED (2024)
<i>Panel E: Geographic Controls</i>		
Elevation	Average elevation of the grid cell in meters.	WorldClim
Rainfall	Annual average rainfall in the grid cell in millimetres.	WorldClim
Temperature	Annual average temperature in the grid cell in degrees Celcius.	WorldClim
Ruggedness	Terrain Ruggedness Index (TRI) calculated for the grid cell.	Nunn and Puga (2012)
Distance to Coast	Geodesic distance from the grid cell centroid to the nearest coastline (km).	QGIS
Distance to Rivers/Lakes	Geodesic distance from the grid cell centroid to the nearest river or lake (km).	QGIS
Continued on next page		

Table B.1 – continued from previous page

Variable	Description	Source
Agricultural Suitability	Index of land suitability for agriculture based on soil and climate constraints.	Atlas of the Biosphere
Malaria Suitability	Index of climatic suitability for malaria transmission.	Kiszewski et al. (2004)
Population Density	Population count per grid cell used for per-capita adjustments.	LandScan
<i>Panel F: Textual Data (NLP Analysis)</i>		
Common Law Corpus (JCPC)	Full text of 166 judgments from the Judicial Committee of the Privy Council (1890–1974), restricted to Sub-Saharan African appeals.	(British and Irish Legal Information Institute, 2025)
Civil Law Corpus (RJCB)	Full text of the <i>Revue Juridique du Congo Belge</i> (1924–1963), comprising 38 volumes of colonial jurisprudence and doctrine.	(Droit Congolais, 2025)

Notes: This table summarises the primary variables used in the empirical analysis. The unit of observation for economic and geographic variables is a $0.125^\circ \times 0.125^\circ$ grid cell for the global analysis and a $0.05^\circ \times 0.05^\circ$ grid cell for the Cameroon analysis. Survey variables are defined at the individual respondent level and grouped in geocoded clusters.

B.2 Computational Analysis of Colonial Legal Semantics

To validate the hypothesis that Common Law institutions possess greater porosity regarding customary norms than Civil Law institutions, I employ natural language processing (NLP) to analyse the semantic structure of historical colonial legal texts. This appendix details the corpus construction, pre-processing steps, and vector space architecture used to generate the results presented in the main text.

Corpus Construction. The analysis relies on two distinct corpora representing the Supreme Court level of colonial adjudication:

- Common Law (JCPC): The corpus comprises 166 cases and 493 related documents from the Judicial Committee of the Privy Council (1890–1974). As the final court of appeal for the British Empire, these texts represent the authoritative doctrine on the integration of native title.
- Civil Law (RJCB): The corpus is sourced from the *Revue Juridique du Congo Belge* (1924–1963). Given the Civil Law tradition’s reliance on doctrine over pure precedent, this source is a hybrid collection containing both jurisprudence (case law) and doctrine (administrative commentary). The raw data consists of 38 digitized annual volumes (1939 is missing).

Pre-processing and Optical Character Recognition. To ensure comparability between the disjointed texts of the JCPC and the dense volumes of the RJCB, I implemented the following pre-processing pipeline:

1. Ghost Filtering: Documents with fewer than 100 tokens (often metadata stubs or empty pages) were excluded to prevent the dilution of the vector space with low-information noise.

2. Text Segmentation (Chunking): To normalize the structural asymmetry between the corpora, the massive RJCB volumes were segmented into 500-word sliding windows (with 50-word overlap). This simulates the length of discrete legal disputes, ensuring the Word2Vec model learns local semantic context rather than global noise. The same chunking methodology was applied to the JCPC corpus.
3. Heuristic OCR Patching: To mitigate shattering (a systematic OCR error where words are split by hyphens or layout artifacts) I applied a regex-based patching strategy. Common split tokens (e.g., *ordin ance* $\rightarrow$ *ordinance*, *ordon nance* $\rightarrow$ *ordonnance*) were reassembled. This step was to ensure that legal terms of art were correctly vectorized.

Vector Space Architecture. I quantify semantic relationships using a Word2Vec (Skip-Gram) embedding model implemented via Gensim in Python. The model maps words into a high-dimensional vector space where geometric proximity represents semantic similarity. Figure B.1 presents the principal components (PCA) of the vector space for the JCPC and RJCB corpora. The topological patterns align with the paper’s core hypotheses: the Civil Law corpus displays a stark semantic distance between state concepts (e.g., ‘*civil*’) and the population (e.g., ‘*indigène*’), reflecting the rigid dualism of the Belgian administration. Conversely, the Common Law corpus shows the ‘Chief’ as a distinct, autonomous semantic entity, consistent with the parallel authority structures characterizing Indirect Rule.

- Hyperparameters: I utilised a vector size of $d = 150$ to balance semantic richness with dataset size. A wide context window ($w = 10$) was selected to capture thematic associations (words appearing in the same paragraph) rather than strict syntactic proximity.
- Dictionary Expansion: To identify the semantic field of ‘Custom,’ I started with seed terms (e.g., *custom*, *coutume*, *stool*, *indigène*). I then examined their nearest neighbours in the vector space to iteratively refine the target dictionaries.

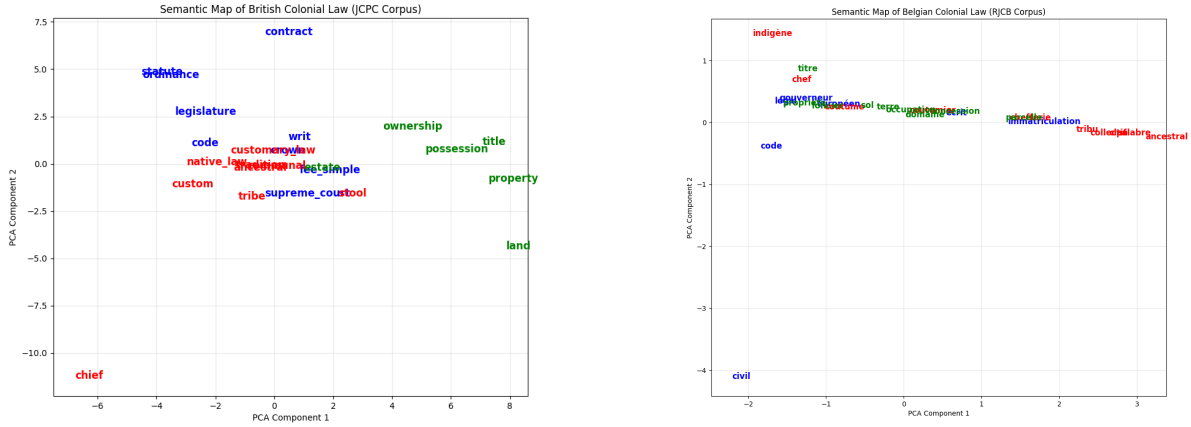


Figure B.1: The Semantic Topology of Colonial Law

Notes. The figure visualizes the first two principal components (PCA) of the 150-dimensional word embedding models. Words are colored by semantic category: **Formal Law** (Blue), **Customary/Kinship** (Red), and **Land/Property** (Green). In the Common Law corpus (Panel a), customary terms spatially overlap with formal concepts, while property is distinct. In the Civil Law corpus (Panel b), customary and formal themes remain more distinct, while property overlaps.

Quantitative Metrics. I measure the Integration Gap using two geometric metrics:

1. Cosine Similarity: I calculate the similarity between the centroid vector of Law terms and the centroid vector of Custom terms. $1 - \text{Cosine Distance}$ serves as the proxy for institutional porosity.
2. The Moral Axis Projection: I construct a normative dimension vector by subtracting the centroid of Negative/Repugnant terms (e.g., *barbarous*, *repugnant*, *sauvage*) from Positive/Valid terms (e.g., *equity*, *justice*, *droit*). I then project the Custom concept vector onto this axis to quantify the normative load assigned to traditional norms by each legal system.

Statistical Validation. To ensure the observed divergence is not an artifact of sampling, I performed a bootstrap significance test. I re-sampled the corpus 30 times with replacement to generate a distribution of similarity scores. The distributions for Common Law and Civil

Law in Figure 1 are non-overlapping ($p < 0.01$), confirming that the divergence in the semantic integration of land rights is a robust structural feature of the legal traditions.

B.3 Conflict Actor Classification

To validate the mechanism of strategic withdrawal, it is necessary to distinguish between state-enforced order, separatist insurgency, and external destabilisation. I utilise the *Armed Conflict Location & Event Data Project* (ACLED) to classify conflict events based on the actors involved.

I construct three binary indicators (*State Forces*, *Separatist Rebels*, and *Boko Haram*) by searching for specific keywords in both the **Actor 1** and **Actor 2** fields of the ACLED event logs. This dual-field search ensures I capture all events where a specific group was either the perpetrator or the target. The classification logic is defined as follows:

1. State Forces (Civil Law Enforcers)

Events are classified as involving State Forces if the actor name contains references to the formal security apparatus of the central government. This includes both regular forces and elite units often deployed in the Anglophone regions:

- **Regular Forces:** “Military Forces of Cameroon”, “Police Forces of Cameroon”, “Government of Cameroon”.
- **Elite Units:** “Rapid Intervention” (capturing the *Bataillon d’Intervention Rapide* or BIR), “Gendarmerie”.

2. Separatist Rebels (Ambazonia)

Events are classified as involving Separatist Rebels if the actor name corresponds to known armed groups advocating for the secession of the Anglophone regions. This classification captures both the umbrella movements and specific local militias identified in the dataset:

- **Umbrella Terms:** “Ambazonia”, “Southern Cameroons”.
- **Specific Militias:** “SOCADEF” (Southern Cameroons Defence Forces), “SCACUF” (Southern Cameroons Ambazonia Consortium United Front), “Red Dragon”, “Tigers”.

3. Boko Haram / ISWAP (Placebo)

Events are classified as involving the Islamist insurgency in the Far North (Civil Law zone) to serve as a placebo test for general conflict instability. This category includes:

- **Insurgents:** “Boko Haram”, “Islamic State” (capturing ISWAP factions).

B.4 State Legitimacy Index Construction

The *State Trust Index* serves as the primary measure of institutional legitimacy. It is constructed as the unweighted average of ten distinct components from the Afrobarometer survey (Round 1–6).

To ensure comparability and equal weighting across institutions, each component is first standardised (z-scored) to have a mean of zero and a standard deviation of one across the sample before aggregation. The index is composed of the following ten elements:

- **Trust in President** (Source: Q41A)
- **Trust in Parliament** (Source: Q41B)
- **Trust in Electoral Commission** (Source: Q41C)
- **Trust in Local Council** (Source: Q41D)
- **Trust in Ruling Party** (Source: Q41E)
- **Trust in Opposition Political Parties** (Source: Q41F)
- **Trust in Police** (Source: Q41G)
- **Trust in Army** (Source: Q41H)
- **Trust in Courts of Law** (Source: Q41I)
- **Trust in Tax Office** (Source: Q41J)

B.5 Summary Statistics and Analysis

Kinship Index Construction. Tables B.2 and B.3 provide a detailed validation of the *Kinship Intensity Index* (KII). Table B.2 reports the summary statistics and correlation matrix for the five constituent pre-industrial traits: cousin marriage preferences, polygamy, extended family co-residence, lineage organisation, and community segmentation. The correlation matrix (Panel B) reveals strong positive associations between all sub-components, with coefficients ranging from 0.10 to 0.68. The high internal consistency of these traits is further confirmed by a Cronbach’s alpha of 0.80, suggesting they capture a coherent underlying social structure rather than disconnected cultural practices.

Table B.3 formalises this through Principal Component Analysis (PCA). The results demonstrate that a single latent factor, the first principal component, explains approximately 56% of the total variance in the data (Panel A). As shown in the eigenvector loadings (Panel B), all five sub-components load positively and substantially on this first component (loadings between 0.33 and 0.54). This justifies the use of the first component as a univariate index of social tightness.

Global Spatial Sample (200 km Bandwidth). Table B.4 presents summary statistics for the primary spatial sample used in the robustness analysis, restricted to grid cells within 200 km of a legal origin boundary. This restriction ensures greater geographic comparability than the full global sample. Panel A highlights the persistent economic gap: Civil Law jurisdictions in this border region exhibit significantly lower nighttime luminosity compared to their Common Law neighbours. Crucially, Panel B shows that while Kinship Intensity is slightly higher on the Civil Law side, the difference is statistically indistinguishable from zero ($p > 0.10$), supporting the validity of the border design.

Table B.2: Summary Statistics and Correlations of Kinship Components

Panel A: Summary Statistics					
Variable	Mean	SD	Min	Max	Obs
(1) Cousin Marriage Preference	0.53	1.07	0	3	678,666
(2) Polygamy	0.69	0.86	0	2	697,061
(3) Co-residence of Families	1.35	0.54	0	2.5	700,924
(4) Lineage Organization	0.49	0.50	0	1	699,494
(5) Community Organization	0.33	0.47	0	1	667,073
(6) Kinship Intensity Index (KII)	-0.75	1.25	-2.46	2.13	701,255
Panel B: Correlation Matrix					
	(1)	(2)	(3)	(4)	(5)
(1) Cousin Marriage Preference	1.00				
(2) Polygamy	0.36	1.00			
(3) Co-residence of Families	0.10	0.36	1.00		
(4) Lineage Organization	0.44	0.68	0.53	1.00	
(5) Community Organization	0.26	0.47	0.47	0.61	1.00
(6) Kinship Intensity Index (KII)	0.58	0.80	0.64	0.90	0.75

Notes. Panel A reports summary statistics for the subcomponents of the Kinship Intensity Index (reported in their raw, unstandardized scales for interpretability) and the final Kinship Intensity Index (reported in the standardized units used in the regression analysis). Panel B reports pairwise Pearson correlation coefficients for the subcomponents of the Kinship Intensity Index, using the standardized versions of all subcomponents. The unit of observation is a grid cell ($0.125^\circ \times 0.125^\circ$). The strong positive correlations between the index and its components, combined with a Cronbach's alpha of 0.80, confirm the internal consistency of the index.

Afrobarometer Mechanism Sample. Finally, Table B.5 summarises the individual-level micro-data used to test the mechanism of strategic exit. The sample comprises 15,770 respondents located within 44 partitioned ethnic homelands. Panel A confirms that the sample is demographically representative, with an average age of 36 years and an equal gender split. Panels B and C present the baseline levels for the key outcome variables. Notably, trust in formal institutions is generally low (e.g., Trust in Courts averages 1.58 on a 0–3 scale), while traditional leaders enjoy relatively higher confidence and influence, providing the necessary variation to detect institutional substitution effects.

Table B.3: Principal Component Analysis of Kinship Subcomponents

Panel A: Eigenvalues		
Component	Eigenvalue	Proportion of Variance
Component 1	2.81	0.562
Component 2	0.90	0.180
Component 3	0.55	0.111
Component 4	0.48	0.096
Component 5	0.25	0.050
Panel B: First Component Loadings (Eigenvectors)		
Variable	Loading	Uniqueness
Lineage Organization	0.54	0.71
Polygamy	0.47	0.78
Community Organization	0.47	0.78
Co-residence of Families	0.40	0.84
Cousin Marriage Preference	0.33	0.89

Notes. The table reports the results of a Principal Component Analysis (PCA) performed on the five standardized subcomponents of the Kinship Intensity Index ($N = 655,888$). Panel A shows that only the first component has an eigenvalue greater than 1 (satisfying the Kaiser criterion) and explains 56% of the total variation. Panel B reports the eigenvectors for the first component, demonstrating that all subcomponents contribute positively and substantially to the single latent trait. Column (2) of Panel B lists uniqueness ($1 - Loading^2$), representing the share of unexplained variance.

Table B.4: Global Summary Statistics by Legal Origin (200 km Bandwidth)

Variable	(1) Full Sample Mean/SD	(2) Civil Law Mean/SD	(3) Common Law Mean/SD	(4) Difference (2)-(3)
Panel A: Economic Outcomes				
Probability of Light	0.56 (0.50)	0.50 (0.50)	0.63 (0.48)	-0.136* [0.074]
Log Nighttime Luminosity	-8.14 (5.54)	-9.23 (5.00)	-6.87 (5.85)	-2.358** [1.028]
Panel B: Institutional Inputs				
Kinship Intensity Index	-0.15 (0.71)	-0.11 (0.70)	-0.19 (0.73)	0.088 [0.120]
Jurisdictional Hierarchy	3.17 (1.35)	3.19 (1.40)	3.15 (1.28)	0.043 [0.462]
Panel C: Geographic Controls				
Absolute Latitude	18.75 (9.41)	18.93 (10.16)	18.53 (8.44)	0.402 [2.996]
Elevation (m)	1115.5 (1439.4)	1512.1 (1763.0)	655.7 (690.7)	856.3 [685.9]
Ruggedness Index	133.7 (182.0)	159.8 (201.5)	103.4 (150.9)	56.4 [46.8]
Distance to Coast (km)	558.31 (452.48)	625.73 (480.28)	480.14 (404.12)	145.591 [105.501]
Distance to River (km)	210.1 (323.5)	151.6 (274.5)	277.9 (360.6)	-126.3 [83.4]
Temperature (°C)	21.05 (9.02)	18.47 (10.83)	24.05 (4.78)	-5.578 [4.099]
Precipitation (mm)	840.1 (844.2)	886.6 (898.2)	786.3 (773.4)	100.2 [188.1]
Agricultural Suitability	0.96 (0.04)	0.96 (0.04)	0.96 (0.04)	0.005 [0.004]
Malaria Suitability	5.73 (7.78)	5.71 (7.37)	5.76 (8.22)	-0.054 [1.886]
Observations (Grid Cells)	78,370	42,075	36,295	78,370

Notes. The table reports summary statistics for the 200 km bandwidth grid-cell sample used in the OLS estimation. Columns 1-3 report Means with Standard Deviations in parentheses. Column 4 reports the difference in means between Civil Law and Common Law jurisdictions, estimated via OLS with Standard Errors clustered two-way at the country and ethnolinguistic family level reported in brackets. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table B.5: Summary Statistics: Afrobarometer Mechanism Sample

Variable	Mean	SD	Min	Max	Obs
Panel A: Respondent Characteristics					
Age (Years)	36.32	14.52	18.00	112.00	15,770
Female (=1)	0.50	0.50	0.00	1.00	15,770
Education Level (0-9)	3.39	2.18	0.00	9.00	15,749
Lived Poverty Index (0-4)	1.29	0.90	0.00	4.00	15,766
Panel B: State Legitimacy & Representation					
State Trust Index	1.50	0.78	0.00	3.00	15,685
Trust in Courts	1.58	1.09	0.00	3.00	15,117
Trust in Parliament	1.38	1.10	0.00	3.00	15,093
Trust in Police	1.40	1.14	0.00	3.00	15,555
Trust in Army	1.91	1.10	0.00	3.00	15,421
Trust in Tax Office	1.38	1.06	0.00	3.00	14,622
Trust in Electoral Comm.	1.46	1.13	0.00	3.00	15,058
Trust in Ruling Party	1.49	1.18	0.00	3.00	15,197
Trust in Opposition	1.14	1.05	0.00	3.00	15,126
MP Listens	0.58	0.80	0.00	3.00	15,281
MP Performance	2.29	0.94	1.00	4.00	14,686
Panel C: Civic Engagement					
Political Particip. Index	0.44	0.33	0.00	1.00	15,770
Attended Comm. Meeting	0.63	0.48	0.00	1.00	15,770
Joined Others to Raise Issue	0.55	0.50	0.00	1.00	15,770
Attended Demonstration	0.14	0.35	0.00	1.00	15,770
Panel D: Local Intermediaries					
Trust in Trad. Leaders	1.85	1.08	0.00	3.00	15,208
Trad. Leader Influence	3.00	0.71	1.00	5.00	15,487
Trad. Leader Corruption	1.13	0.84	0.00	3.00	14,645
Trust in Local Council	1.42	1.07	0.00	3.00	14,923
Local Cncl. Listens	0.78	0.91	0.00	3.00	15,230
Local Cncl. Performance	2.42	0.94	1.00	4.00	13,003
Relative Trust (Courts-Chiefs)	-0.26	1.12	-3.00	3.00	14,707

Notes. The table reports summary statistics for the Afrobarometer respondents included in the main RDD specification. The sample is restricted to individuals residing within the 200 km bandwidth of the legal origin border in partitioned ethnic homelands. Relative Trust is calculated as Trust in Courts minus Trust in Traditional Leaders. Education Level is coded on a 9-point scale. Lived Poverty Index is an average of shortages of basic necessities (0=Never, 4=Always).

C Extended Robustness

C.1 Local OLS Estimates

To ensure that the results are not driven by the specific functional form of the Regression Discontinuity Design (which discretises social structure into binary 'High' and 'Low' categories), I conduct a robustness check estimating the baseline OLS specification within the restricted spatial sample. While the main RD strategy relies on a median split to estimate local treatment effects, the OLS framework utilises the continuous variation in the Kinship Intensity Index, allowing for a more granular test of the interaction.

By restricting the sample to ethnolinguistic homelands within a 200 km bandwidth of the legal boundary, I ensure that this continuous estimation is performed on the same set of spatially comparable observations used in the causal analysis. As reported in Table C.1, the local estimates are virtually unchanged from the global benchmark: the negative relationship between kinship and development is concentrated under Civil Law, while the interaction with Common Law remains positive and statistically significant. This suggests that the 'mismatch penalty' is not an artifact of binary categorisation, but a robust structural feature that persists even when modelling the interaction continuously within the border region.

C.2 Full Sample RD Estimates

To assess the validity of the identification strategy in the unrestricted sample, I formally test for the continuity of pre-determined geographic characteristics at the legal boundary. The results, reported in the Table 3 of the main text, reveal a failure of the multidimensional balance assumption for the Low Kinship group. While the High Kinship sample (Column 2) displays reasonable balance across all geographic dimensions, the Low Kinship sample (Column 1) is characterised by severe discontinuities.

Tables C.2 and C.3 present the RDD estimates for this unrestricted global sample, which

Table C.1: OLS Estimates of Kinship Intensity on Economic Activity
(200 km Bandwidth)

<i>Dependent Variable: Log Nighttime Luminosity</i>			
	(1) Baseline	(2) Controls	(3) Hierarchy
Panel A: Aggregate Relationship			
Kinship Intensity	0.545 (0.564)	0.116 (0.224)	0.202 (0.222)
Panel B: Split by Legal Origin			
Kinship Intensity	-0.489*** (0.128)	-0.373*** (0.101)	-0.275** (0.125)
Common Law $\times$ Kinship	1.640*** (0.539)	0.914*** (0.228)	0.907*** (0.256)
Jurisdictional Hierarchy			0.176* (0.091)
<i>Marginal Effects of Kinship:</i>			
Slope: Civil Law	-0.489***	-0.373***	-0.275**
Slope: Common Law	1.151**	0.541**	0.632**
Observations	78,364	77,681	75,134
Adj. R-Squared	0.423	0.624	0.627
Country FEs	✓	✓	✓
Geographic Controls		✓	✓
Population Controls		✓	✓

Notes. The table reports OLS estimates restricted to ethnic homelands located within a 200 km bandwidth of a legal origin boundary. The specification mirrors Table 2. Panel A reports the aggregate relationship between Kinship Intensity and Log Nighttime Luminosity. Panel B reports the interaction estimates. Controls include land suitability, malaria, distance to coast/rivers, temperature, rainfall, ruggedness, elevation, absolute latitude, and population density. Standard errors are two-way clustered at the ethnolinguistic family and country levels and reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

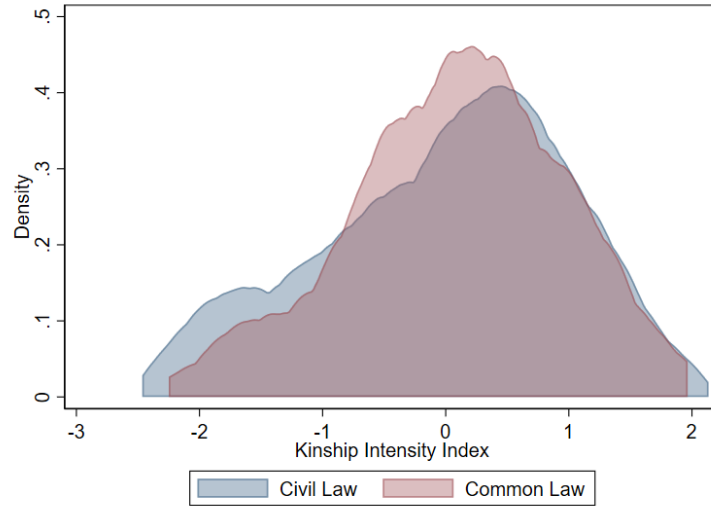


Figure C.1: Distribution of Kinship Intensity by Legal Origin

Notes. The figure presents Kernel density estimates of Kinship Intensity for Civil Law (navy) and Common Law (maroon) jurisdictions. The substantial overlap between the two distributions ensures that the estimated effects are not driven by fundamental cultural differences between the two legal regimes.

includes all partitioned ethnic homelands within the 200 km bandwidth, for the intensive and extensive margin respectively. In this full sample, the results for the High Kinship group remain consistent with the main findings: the assignment to Common Law is associated with a large and statistically significant increases in economic activity relative to Civil Law. The estimates for the Low Kinship group in the full sample exhibit positive coefficients, though they remain statistically indistinguishable from zero.

These Full Sample estimates for the Low Kinship group are likely confounded by the specific geographic imbalance at the China-India border. Unlike the arbitrary colonial borders found in Africa and South-East Asia, this boundary coincides with the Himalayas, creating a sharp topographical discontinuity. The Civil Law jurisdiction (China) is located on the high-altitude Tibetan Plateau, while the Common Law jurisdiction (India) lies in the lower, more arable plains. Since lower elevation and ruggedness are strong predictors of economic density ([Storeygard, 2016](#)), this topography creates a mechanical advantage for the Common Law side.

Table C.2: Spatial Regression Discontinuity Estimates by Kinship Intensity
(Full Sample)

Specification: Bandwidth:	<i>Dependent Variable: Log Nighttime Luminosity</i>			
	(1)	(2)	(3)	(4)
	CCT Optimal	2.0× CCT Wide	Fixed BW 200 km	Quadratic Optimal
Panel A: High Kinship				
RD Estimate	1.761 ^{**} (0.779)	1.849 ^{**} (0.760)	1.725 ^{**} (0.721)	1.839 ^{**} (0.856)
Control Mean	-9.72	-9.76	-10.08	-9.76
Observations	9,680	18,078	35,327	13,152
Clusters	50	52	52	51
Bandwidth (km)	43.0	85.9	200.0	59.9
Panel B: Low Kinship				
RD Estimate	0.428 (0.365)	0.605 (0.368)	0.262 (0.340)	0.511 (0.545)
Control Mean	-8.44	-8.66	-8.54	-8.57
Observations	11,579	20,723	39,807	15,596
Clusters	49	50	50	50
Bandwidth (km)	40.2	80.4	200.0	56.4
Polynomial Order	1	1	1	2
Kernel	Tri	Tri	Uni	Tri
Country Pair FEs	✓	✓	✓	✓
Full Controls	✓	✓	✓	✓

Notes. The table reports spatial RD estimates of the effect of Common Law relative to Civil Law. The unit of observation is a $0.125^\circ \times 0.125^\circ$ grid cell. Panel A restricts the sample to High Kinship groups; Panel B restricts to Low Kinship groups. Column 1 uses the MSE-optimal bandwidth (Calonico et al., 2014). Column 2 doubles this bandwidth. Column 3 uses a fixed 200km bandwidth with a uniform kernel to grant equal weight to all observations in the broader border region. Column 4 fits a local quadratic polynomial. Standard errors are clustered at the country-pair level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table C.3: Spatial Regression Discontinuity Estimates by Kinship Intensity
(Full Sample)

	<i>Dependent Variable: Probability of Light</i>			
	(1)	(2)	(3)	(4)
Specification:	CCT	2.0× CCT	Fixed BW	Quadratic
Bandwidth:	Optimal	Wide	200 km	Optimal
Panel A: High Kinship				
RD Estimate	0.162** (0.074)	0.146** (0.074)	0.112** (0.061)	0.185** (0.083)
Control Mean	0.45	0.43	0.41	0.44
Observations	8,380	15,492	35,330	12,284
Clusters	50	52	52	51
Bandwidth (km)	36.1	72.2	200.0	55.3
Panel B: Low Kinship				
RD Estimate	0.015 (0.039)	0.041 (0.039)	0.003 (0.027)	0.026 (0.051)
Control Mean	0.59	0.56	0.57	0.57
Observations	10,935	19,577	39,807	15,852
Clusters	49	50	50	50
Bandwidth (km)	37.4	74.7	200.0	57.7
Polynomial Order	1	1	1	2
Kernel	Tri	Tri	Uni	Tri
Country Pair FEs	✓	✓	✓	✓
Full Controls	✓	✓	✓	✓

Notes. The table reports spatial RD estimates of the effect of Common Law relative to Civil Law on the extensive margin of economic activity. The unit of observation is a $0.125^\circ \times 0.125^\circ$ grid cell. Panel A restricts the sample to High Kinship groups; Panel B restricts to Low Kinship groups. Column 1 uses the MSE-optimal bandwidth (Calonico et al., 2014). Column 2 doubles this bandwidth. Column 3 uses a fixed 200km bandwidth with a uniform kernel to grant equal weight to all observations in the broader border region. Column 4 fits a local quadratic polynomial. Standard errors are clustered at the country-pair level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

This geographic confounder exerts an upward bias on the estimates, artificially inflating the Common Law premium. This explains why the Low Kinship coefficient in the full sample (0.428) is substantially higher than in the restricted No-China sample reported in Table 4 (−0.567). Consequently, while the Full Sample results confirm the Mismatch Penalty for high-kinship groups, the Low Kinship estimates should be interpreted with caution, as the null result is partially influenced by the unique geography of the Himalayan frontier.

Robustness of the Mismatch. Crucially, the mismatch penalty for High Kinship groups remains robust to this full sample. As shown in Panel A of Table C.2, the coefficient for high-kinship groups remains positive, large (1.761, $p < 0.05$), and statistically significant. This confirms that the estimated benefits of Common Law for high-kinship societies are not a geographic artifact of the Himalayas, but reflect the alleviation of institutional friction.

C.3 Placebo Boundary RD Estimates

To rule out the concern that the estimated discontinuity is driven by spurious spatial trends or random noise, I conduct a falsification test by artificially shifting the border location. I re-estimate the spatial RDD at placebo cutoffs located 50 km into the interior of both the Common Law and Civil Law jurisdictions. As reported in Table C.4, these placebo borders yield estimates that are statistically indistinguishable from zero. The absence of discontinuities at these arbitrary locations contrasts sharply with the large, significant effect observed at the actual legal boundary, confirming that the mismatch penalty is unique to the specific location where the institutional regime changes.

Table C.4: Robustness: Placebo Border Tests by Kinship Intensity

	<i>Dependent Variable: Log Nighttime Luminosity</i>		
	(1)	(2)	(3)
Test Location:	Real Border	Placebo Common	Placebo Civil
Shift Distance:	0 km	+50 km	-50 km
Panel A: High Kinship			
RD Estimate	1.714** (0.696)	-0.535 (0.603)	-0.323 (0.537)
Control Mean	-9.74	-7.83	-9.86
Observations	9,965	4,023	3,425
Clusters	50	48	44
Bandwidth (km)	44.4	18.8	17.6
Panel B: Low Kinship			
RD Estimate	0.273 (0.283)	0.296 (0.302)	0.399 (0.391)
Control Mean	-8.43	-6.92	-8.77
Observations	11,297	4,793	4,120
Clusters	49	44	38
Bandwidth (km)	38.9	21.3	15.9
Sample Restriction	—	> 0 km	< 0 km
Optimal Bandwidth	✓	✓	✓
Full Controls	✓	✓	✓
Country Pair FEs	✓	✓	✓

Notes. The table reports spatial RD estimates for real and placebo borders, split by Kinship Intensity. Column 1 reports the baseline estimate at the real legal origin boundary (0 km). Column 2 shifts the cutoff 50 km into the Common Law side (restricting sample to Distance > 0). Column 3 shifts the cutoff 50 km into the Civil Law side (restricting sample to Distance < 0). Panel A shows that the significant negative effect of Civil Law is unique to the real border in High Kinship areas. Panel B confirms that in Low Kinship areas, there are no significant discontinuities at either the real or placebo borders. Standard errors are clustered at the country-pair level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table C.5: Heterogeneous Impact of Anglophone Crisis by Population Density

<i>Dependent Variable: Log Nighttime Luminosity</i>		
	(1) Full Sample	(2) Urban Only
Triple-Differences Estimates		
Anglophone $\times$ Post $\times$ Kinship (<i>Mismatch Penalty</i>)	−0.003 (0.003)	−0.007* (0.004)
Anglophone $\times$ Post (<i>Crisis Main Effect</i>)	0.002 (0.003)	−0.001 (0.004)
Post $\times$ Kinship (<i>Counterfactual Trend</i>)	−0.005*** (0.001)	−0.004** (0.002)
Observations	203,463	101,621
Clusters	15,651	7,817
Grid Cell FEs	✓	✓
Year FEs	✓	✓

Notes. The table reports estimates from triple-difference specifications using the intensive margin of economic activity (log nighttime luminosity). Column 1 reports the pooled sample estimates. Column 2 restricts the sample to Urban grid cells (above median population density). *Anglophone $\times$ Post $\times$ Kinship* captures the additional decline in economic activity for high-kinship groups in the crisis zone after 2016. Standard errors are clustered at the grid cell level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

C.4 Ghost Towns as an Urban Phenomenon

While the extensive margin provides a robust measure of economic collapse in the aggregate sample, the Ghost Town mechanism is structurally an urban phenomenon. Therefore, in Table C.5, I test this plausible heterogeneity by replicating the analysis using the intensive margin and restricting the sample to urban centres (above-median population density). Consistent with the qualitative evidence, I find that the kinship penalty is concentrated in these commercial hubs. The estimated coefficient in the urban sample is more than double the magnitude of the full sample and becomes marginally statistically significant at the 10% level ($p < 0.10$). This suggests that the null result in the aggregate intensive margin is driven by rural noise, while the core mechanism of strategic withdrawal is active in the cities.

D Mechanism Details

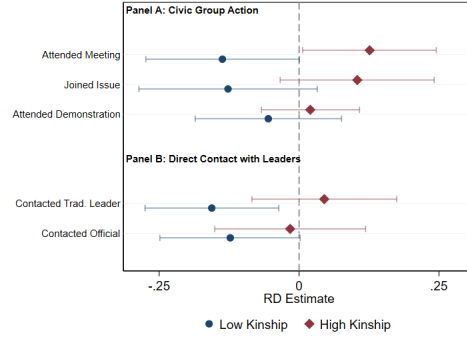


Figure D.1: Decomposition of the Political Participation Gap

Notes. The figure provides a granular decomposition of the Political Participation Index presented in Figure 8. Panel A reports estimates for collective civic actions (attending meetings, joining issues, attending demonstrations). Panel B reports estimates for direct individual contact with officials and traditional leaders. Coefficients are sorted by the magnitude of the High Kinship effect. 95% confidence intervals are displayed.

Table D.1: RD Estimates for Mechanisms of Institutional Mismatch

Dependent Variable	(1) Low Kinship	(2) High Kinship
Panel A: Corruption		
Corruption: Civil Servants	0.010	-0.309***
Corruption: Parliament	0.017	-0.378**
Panel B: Bureaucratic Predation		
Paid Bribe: Identity Doc.	-0.068	-0.446***
Capacity to Report Corrup.	-0.042	0.131***
Country Pair FEs	✓	✓
Full Controls	✓	✓

Notes. The table reports RD estimates of the effect of legal origin (Common vs. Civil Law). The unit of observation is an individual, geocoded at the village- and town-level. The sample is split by the median Kinship Intensity Index to contrast the effect in low-kinship societies (Column 1) vs. high-kinship societies (Column 2). Panel A reports bureaucratic friction; Panel B reports experiences of corruption. Positive coefficients indicate better outcomes under Common Law, except for Corruption and Bribery variables, where negative coefficients indicate better outcomes (lower corruption). Standard errors are clustered at the country-pair level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

E The Boko Haram Conflict

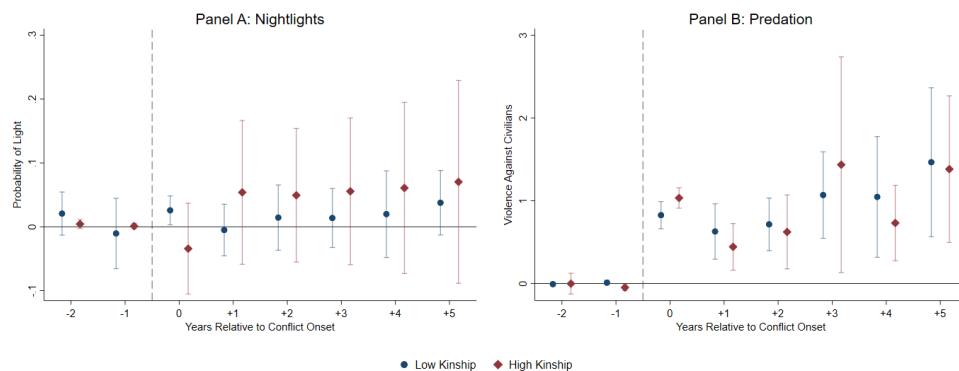


Figure E.1: Impact of Conflict Onset on the Probability of Light by Kinship Intensity

Notes. The figure reports dynamic Average Treatment Effects on the Treated (ATT), estimated using the doubly robust difference-in-differences estimator of [Callaway and Sant'Anna \(2021\)](#). The sample is stratified by the median Kinship Intensity Index (KII). Panel A reports estimates for the Probability of Nighttime Light (Extensive Margin). Panel B reports estimates for the number of events classified as Violence Against Civilians in the ACLED database. The x-axis represents years relative to the first recorded Boko Haram conflict event ($T = 0$) in the grid cell. Blue circles represent estimates for the Low Kinship subsample; red diamonds represent estimates for the High Kinship subsample. Bars indicate 95% confidence intervals clustered at the department level.

Table E.1: Event Study Estimates: The Divergent Effects of Institutional Mismatch vs. State Failure

<i>Dependent Variable: Probability of Light</i>		
Time Relative to Onset	(1) Low Kinship	(2) High Kinship
Panel A: Anglophone Crisis		
$t - 5$	0.003	-0.006
$t - 4$	-0.001	0.004
$t - 3$	0.007	0.030***
$t - 2$	-0.018**	-0.021
$t - 1$	0.002	-0.014
$t = 0$ (Onset)	-0.012	-0.038**
$t + 1$	-0.016**	-0.062***
$t + 2$	-0.005	-0.054
$t + 3$	-0.009	-0.113***
$t + 4$	-0.025	-0.064
$t + 5$	-0.059**	-0.147***
Panel B: Boko Haram Conflict		
$t - 2$	0.021	0.004
$t - 1$	-0.010	0.001
$t = 0$ (Onset)	0.026**	-0.034
$t + 1$	-0.005	0.054
$t + 2$	0.014	0.049
$t + 3$	0.014	0.056
$t + 4$	0.020	0.061
$t + 5$	0.038	0.070
Full Controls	✓	✓

Notes. The table reports the dynamic event study coefficients estimated using the Doubly Robust Inverse Probability Weighting (DR-IPW) method ([Callaway and Sant'Anna, 2021](#)). The dependent variable is the probability of nighttime light. Panel A reports the effect of the Anglophone Crisis (Mismatch) with a window of $[-5, +5]$. Panel B reports the effect of the Boko Haram conflict (State Failure) with a window of $[-2, +5]$, reflecting the earlier onset of the insurgency. Standard errors are clustered at the department level. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$